

The Companies (Cost records and audit) Rules, 2014

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Union of India - Act

The Companies (Cost records and audit) Rules, 2014

UNION OF INDIA

India

The Companies (Cost records and audit) Rules, 2014

Rule THE-COMPANIES-COST-RECORDS-AND-AUDIT-RULES-2014 of 2014

Published on 30 June 2014

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The Companies (Cost records and audit) Rules, 2014

Published vide Notification No. G.S.R. 425(E), 30th June, 2014

Last Updated 19th October, 2019

Ministry of Corporate Affairs

G.S.R. 425(E). - In exercise of the powers conferred by sub-sections (1) and (2) of section 469 and section 148 of the Companies Act, 2013 (

18 of 2013

) and in supersession of Companies (Cost Accounting Records) Rules, 2011; Companies (Cost Audit Report) Rules, 2011; Cost Accounting Records (Telecommunication Industry) Rules, 2011; Cost Accounting Records (Petroleum Industry) Rules, 2011; Cost Accounting Records (Electricity Industry) Rules, 2011; Cost Accounting Records (Sugar Industry) Rules, 2011; Cost Accounting Records Fertilizer Industry) Rules, 2011 and Cost Accounting Records

(Pharmaceutical Industry) Rules, 2011, except as respects things done or omitted to be done before such supersession, the Central Government hereby makes the following rules, namely :-

1.

Short title and commencement.

(1)

These rules may be called the Companies (cost records and audit) Rules, 2014.

(2)

They shall come into force on the date of publication in the Official Gazette.

2.

Definitions.

- In these rules, unless the context otherwise requires -

(a)

"Act" means the Companies Act, 2013 (
18 of 2013

);

(aa)

["Customs Tariff Act Heading" means the heading as referred to in the Additional Notes in the First Schedule to the Customs Tariff Act, 1975 (
51 of 1975

)]

[Substituted by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

(b)

"Cost Accountant in practice" means a cost accountant as defined in clause (b) of sub-section (1) of section 2 of the Cost and Works Accountants Act, 1959 (
23 of 1959

), who holds a valid certificate of practice under sub-section (1) of section 6 of that Act and who is deemed to be in practice under sub-section (2) of section 2 thereof, and includes a firm or limited liability partnership of cost accountants;

(c)

"cost auditor" means a Cost Accountant in practice, as defined in clause (b), who is appointed by the Board;

(d)

["cost audit report" means the duly signed cost auditor's report on the cost records examined and cost statements which are prepared as per these rules, including attachment, annexure, qualifications or observations attached with or included in such report;]

[Substituted by Notification No. G.S.R. 695(E), dated 14.7.2016 (w.e.f. 30.6.2014).]

(e)

"cost records" means books of account relating to Utilization of materials, labour and other items of cost as applicable to the production of goods or provision of services as provided in section 148 of the Act and these rules;

(f)

"form" means a form annexed to these rules;

(fa)

["Indian Accounting Standards" means Indian Accounting Standards as referred to in Companies (Indian Accounting Standards) Rule, 2015.]

[Inserted by Notification No. G.S.R. 1498(E), dated 7.12.2017 (w.e.f. 30.6.2014).]

(g)

"institute" means the Institute of Cost Accountants of India constituted under the Cost and Works Accountants Act, 1959 (
23 of 1959

);

(h)

all other words and expressions used in these rules but not defined, and defined in the Act or in the Companies (Specification of Definition Details) Rules, 2014 shall have the same meanings as assigned to them in the Act or in the

said rules.

3.

[Application of Cost Records.

[Substituted by Notification No. G.S.R. 1 (E), dated 31.12.2014 (w.e.f. 30.6.2014).]

- For the purposes of sub-section (1) of Section 148 of the Act, the class of companies, including foreign companies defined in clause (42) of Section 2 of the Act, engaged in the production of the goods or providing services, specified in the Table below, having an overall turnover from all its products and services of rupees thirty five crore or more during the immediately preceding financial year, shall include cost records for such products or services in their books of account, namely:-

[Table]

(A)

Regulated Sectors

Sl. No.

Industry/ Sector/ Product/ Service

[Customs Tariff Act Heading]

[Substituted 'Central Excise Tariff Act Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

(wherever
applicable)

1.

Telecommunication services made available to
users by means of any transmission or reception of signs,
signals, writing, images and sounds or intelligence of any nature
and regulated by the Telecom Regulatory Authority of India under
the Telecom Regulatory Authority of India Act, 1997 (24 of 1997

);

including activities that requires authorization or license issued
by the Department of Telecommunications, Government of India
under Indian Telegraph Act, 1885 (13 of 1885

);

Not applicable

2.

Generation, transmission, distribution and
supply of electricity regulated by the relevant regulatory body
or authority under the Electricity Act, 2003 (36 of 2003

);

Generation- 2716; Other Activity - Not Applicable

3.

Petroleum products; including activities
regulated by the Petroleum and Natural Gas Regulatory Board under
the Petroleum and Natural Gas Regulatory Board Act, 2006 (19 of
2006);

2709 to 2715; Other Activity - Not Applicable

4.

Drugs and pharmaceuticals;
2901 to 2942; 3001 to 3006.

5.

Fertilisers;
3102 to 3105.

6.

Sugar and industrial alcohol;
1701; 1703; 2207.

(B)

Non-regulated Sectors

Sl. No.

Industry/ Sector/ Product/ Service

[Customs Tariff Act Heading]

[Substituted 'Central Excise Tariff Act Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

(wherever
applicable)

1.

Machinery and mechanical appliances used in defence, space and atomic energy sectors excluding any ancillary item or items; Explanation. - For the purposes of this sub-clause, any company which is engaged in any item or items supplied exclusively for use under this clause, shall be deemed to be covered under these rules

8401; 8801 to 8805; 8901 to 8908.

2.

Turbo jets and turbo propellers;

8411

3.

Arms, ammunition's and Explosives;

3601 to 3603; 9301 to 9306.

4.

Propellant powders; prepared explosives (other than propellant powders); safety fuses; detonating fuses; percussion or detonating caps; igniter's; electric detonators;

3601 to 3603

5.

Radar apparatus, radio navigational aid apparatus and radio remote control apparatus;

8526

6.

Tanks and other armored fighting vehicles, motorized, whether or not fitted with weapons and parts of such vehicles, that are funded (investment made in the company) to the extent of ninety per cent or more by the Government or Government agencies;

8710

7.

Port services of stevedoring, pilotage, hauling, mooring, re-mooring, hooking, measuring, loading and unloading [services rendered for a Port in relation to a vessel or goods regulated by the Tariff Authority for Major Ports under the Major Port Trusts Act, 1963 (38 of 1963)]

[Substituted 'services rendered by a Port in relation to a vessel or goods regulated by the Tariff Authority for Major Ports' by Notification No. G.S.R. 1157(E), dated 3.12.2018 (w.e.f. 30.6.2014).]

;

Not applicable.

8.

Aeronautical services of air traffic management, aircraft operations, ground safety services, ground handling, cargo

facilities and supplying fuel rendered[at the airports]

[Substituted 'by airports' by Notification No. G.S.R. 1157(E), dated 3.12.2018 (w.e.f. 30.6.2014).]

and regulated

by the Airports Economic Regulatory Authority under the Airports

Economic Regulatory Authority of India Act, 2008 (27 of 2008);

Not applicable

9.

Iron and Steel;

7201 to 7229; 7301 to 7326

10.

Roads and other infrastructure projects

corresponding to para No. (1) (a) as specified in Schedule VI of

the Companies Act, 2013 (

18 of 2013

);

Not applicable.

11.

Rubber and allied products; including products

regulated by the Rubber Board constituted under the Rubber Act,

1947 (XXIV of 1947);

4001 to 4017

12.

Coffee and tea;

0901 to 0902

13.

Railway or tramway locomotives, rolling stock,

railway or tramway fixtures and fittings, mechanical (including

electro mechanical) traffic signaling equipment?s of all

kind;

8601 to 8608,[8609]

[Inserted by Notification No. G.S.R. 1157(E), dated 3.12.2018 (w.e.f. 30.6.2014).]

.

14.

Cement;

2523; 6811 to 6812

15.

Ores and Mineral products;

2502 to 2522; 2524 to 2526; 2528 to 2530; 2601 to 2617

16.

Mineral fuels (other than Petroleum), mineral oils etc.;

2701 to 2708

17.

Base metals;

7401 to 7403; 7405 to 7413; 7419; 7501 to 7508; 7601 to 7614;

7801 to 7802; 7804; 7806; 7901 to 7905; 7907; 8001; 8003; 8007;

8101 to 8113.

18.

Inorganic chemicals, organic or inorganic

compounds of precious metals, rare-earth metals of radioactive

elements or isotopes, and organic chemicals;

2801 to 2853; 2901 to 2942; 3801 to 3807; 3402 to 3403; 3809

to 3824.

19.

Jute and Jute Products;

5303,[5307]

[Inserted by Notification No. G.S.R. 1157(E), dated 3.12.2018 (w.e.f. 30.6.2014).]

, 5310

20.

Edible Oil;

1507 to 1518

21.

Construction Industry as per para No. (5) (a) as specified in Schedule VI of the Companies Act, 2013 (

18 of 2013

);

Not applicable.

22.

Health services, namely functioning as or running hospitals, diagnostic centres, clinical centres or test laboratories;

Not applicable.

23.

Education services, other than such similar services falling under philanthropy or as part of social spend which do not form part of any business;

Not applicable.

24.

Milk powder;

0402

25.

Insecticides;

3808

26.

Plastics and polymers;

3901 to 3914; 3916 to 3921; 3925

27.

Tyres and tubes;

4011 to 4013

28.

[Pulp and Paper]

[Substituted 'Paper' by Notification No. G.S.R. 1157(E), dated 3.12.2018 (w.e.f. 30.6.2014).]

;

[4701 to 4704]

[Inserted by Notification No. G.S.R. 1157(E), dated 3.12.2018 (w.e.f. 30.6.2014).]

4801 to 4802.

29.

Textiles;

5004 to 5007; 5106 to 5113; 5205 to 5212; 5303 to[5307]

[Inserted by Notification No. G.S.R. 1157(E), dated 3.12.2018 (w.e.f. 30.6.2014).]

; 5310; 5401 to

5408; 5501 to 5516

30.

Glass;

7003 to 7008; 7011; 7016

31.

Other machinery and Mechanical Appliances;

8402 to 8487

32.

Electricals or electronic machinery;

8501 to 8507; 8511 to 8512; 8514 to 8515; 8517; 8525 to 8536;

8538 to 8547.

33.

Production, import and supply or trading of following medical devices, namely:-

(i) Cardiac stents;

(ii) Drug eluting stents;

(iii) Catheters;

(iv) Intra ocular lenses;

(v) Bone cements;

(vi) Heart valves;

(vii) Orthopaedic implants;

(viii) Internal prosthetic replacements;

(ix) Scalp vein set;

(x) Deep brain stimulator;

(xi) Ventricular peripheral shud;

(xii) Spinal implants;

(xiii) Automatic impalpable cardiac[defibrillators]

[Substituted 'deflobillator' by Notification No. G.S.R. 1157(E), dated 3.12.2018 (w.e.f. 30.6.2014).]

;

(xiv) Pacemaker (temporary and permanent);

(xv) Patent ductus arteriosus, atrial septal defect and ventricular septal defect closure device;

(xvi) Cardiac re-synchronise therapy ;

(xvii) Urethra spinicture devices;

(xviii) Sling male or female;

(xix) Prostate occlusion device;

and

(xx) Urethral stents:

9018 to 9022]

Provided that nothing contained in serial number 33 shall apply to foreign companies having only liaison offices.

Provided further that nothing contained in this rule shall apply to a company which is classified as a micro enterprise or a small enterprise including as per the turnover criteria under sub-section (9) of section 7 of the Micro, Small and Medium Enterprises Development Act, 2006 (27 of 2006

).

4.

Applicability for cost audit.

(1)

Every company specified in item (A) of rule 3 shall get its cost records audited in accordance with these rules if the

overall annual turnover of the company from all its products and services during the immediately preceding financial year is rupees fifty crore or more and the aggregate turnover of the individual product or products or service or services for which cost records are required to be maintained under rule 3 is rupees twenty five crore or more.

(2)

Every company specified in item (B) of rule 3 shall get its cost records audited in accordance with these rules if the overall annual turnover of the company from all its products and services during the immediately preceding financial year is rupees one hundred crore or more and the aggregate turnover of the individual product or products or service or services for which cost records are required to be maintained under rule 3 is rupees thirty five crore or more.

(3)

The requirement for cost audit under these rules shall not apply to a company which is covered in rule 3; and

(i)

whose revenue from exports, in foreign exchange, exceeds seventy five per cent of its total revenue; or

(ii)

which is operating from a special economic zone.]

(iii)

[which is engaged in generation of electricity for captive consumption through Captive Generating Plant. For this purpose, the term "Captive Generating Plant" shall have the same meaning as assigned in rule 3 of the Electricity Rules, 2005]

[Inserted by Notification No. G.S.R. 695(E), dated 14.7.2016 (w.e.f. 30.6.2014).]

3. Application of cost records.- For the purpose of sub-section (1) of section 148 of the Act, the following class of companies, including Foreign Companies defined in sub-section (42) of section 2 of the Act, shall be required to include cost records in their books of account, namely :-

(A) Companies engaged in the production of following goods in strategic sectors, such as:

(a) (i) machinery and mechanical appliances used in defense, space and atomic energy sectors excluding any ancillary item or items;

Explanation:- For the purposes of this sub-clause, any company which is engaged in any item or items supplied exclusively for use under this clause, shall be deemed to be covered under these rules.

(ii) turbo jets and turbo propellers;

(iii) arms and ammunition's;

(iv) propellant powders; prepared explosives, (other than propellant powders); safety fuses; detonating fuses; percussion or detonating caps; igniters; electric detonators;

(v) radar apparatus, radio navigational aid apparatus and radio remote control apparatus;

(vi) tanks and other armoured fighting vehicles, motorized, whether or not fitted with weapons and parts of such vehicles, that are funded (investment made in the company) to the extent of ninety per cent or more by the Government or Government Agencies;

(b) provisions of clause (A) shall be applicable, if the net worth of the company is rupees five hundred crore or more or the turnover is rupees five hundred crore or more.

(B) companies engaged in an industry regulated by a Sectoral Regulator or a Ministry or Department of Central Government:

(a) (i) Port services of stevedoring, pilotage, hauling, mooring, re-mooring, hooking, measuring, loading and unloading services rendered by a Port in relation to a vessel or goods regulated by the Tariff Authority for Major Ports under section 111 of the Major Port Trusts Act, 1963 (38 of 1963);

(ii) Aeronautical services of air traffic management, aircraft operations, ground safety services, ground handling, cargo facilities and supplying fuel rendered by airports and regulated by the Airports Economic Regulatory Authority under the Airports Economic Regulatory Authority of India Act, 2008 (27 of 2008);

(iii) Telecommunication services made available to users by means of any transmission or reception of signs, signals, writing, images and sounds or intelligence of any nature (other than broadcasting services) and regulated by the Telecom Regulatory Authority of India under the Telecom Regulatory Authority of India Act, 1997 (24 of 1997

);

(iv) Generation, transmission, distribution and supply of electricity regulated by the relevant regulatory body or authority

under the Electricity Act, 2003 (36 of 2003

), other than for captive generation (as defined under the Electricity Rules 2005);

(v) Steel;

(vi) Roads and other infrastructure projects;

(vii) Drugs and Pharmaceuticals;

(viii) Fertilisers;

(ix) Sugar and industrial alcohol;

(x) Petroleum products regulated by the Petroleum and Natural Gas Regulatory Board under the Petroleum and Natural Gas Regulatory Board Act, 2006 (19 of 2006

);

(xi) Rubber and allied products being regulated by the Rubber Board.

(b) For the purposes of clause (B), the thresholds limit shall be as under, -

(i) in the case of a multi-product or a multi services company (i.e. a company producing more than one product or service), any product or a service for which the individual turnover (from such specific product or such specific service) is rupees fifty crore or more;

(ii) in the case of a company, producing any one specific product or service, if the net worth of the company is rupees one hundred and fifty crore or more or the turnover is rupees twenty five crore or more.

(c) in the case of companies engaged in an industry regulated by a sectoral regulator, the requirements of sectoral regulator regarding cost records shall be taken into account.

(C) Companies operating in areas involving public interest such as:

(a) (i) Railway or tramway locomotives, rolling stock, railway or tramway fixtures and fittings, mechanical (including electro mechanical) traffic signaling equipment's of all kind;

(ii) Mineral products including cement;

(iii) Ores;

(iv) Mineral fuels (other than Petroleum), mineral oils etc.;

(v) Base metals;

(vi) Inorganic chemicals, organic or inorganic compounds of precious metals, rare-earth metals of radioactive elements or isotopes, and Organic Chemicals;

(vii) Jute and Jute Products;

(viii) Edible Oil under Administrative Price Mechanism;

(ix) Construction Industry;

(x) Companies engaged in health services viz. functioning as or running hospitals, diagnostic centres, clinical centres or test laboratories;

(xi) Companies engaged in education services, other than such similar services falling under philanthropy or as part of social spend which do not form part of any business.

(b) For the purposes of clause (C), the thresholds limit shall be as under, -

(i) in the case of a multi-product or a multi services company (i.e. a company producing more than one product or service), any product or a service for which the individual turnover (from such specific product or such specific service) is rupees fifty crore or more;

(ii) in the case of a company producing any one specific product or service, if the net worth of the company is rupees one hundred and fifty crore or more or the turnover is rupees twenty five crore or more.

(D) Companies (including foreign companies other than those having only liaison offices) engaged in the production, import and supply or trading of following medical devices, namely :-

(a) (i) Cardiac Stents;

(ii) Drug Eluting Stents;

(iii) Catheters;

(iv) Intra Ocular Lenses;

(v) Bone Cements;

(vi) Heart Valves;

- (vii) Orthopaedic Implants;
- (viii) Internal Prosthetic Replacements;
- (ix) Scalp Vein Set;
- (x) Deep Brain Stimulator;
- (xi) Ventricular peripheral Shud;
- (xii) Spinal Implants;
- (xiii) Automatic Impalpable Cardiac Deflobillator;
- (xiv) Pacemaker (temporary and permanent);
- (xv) patent ductus arteriosus, atrial septal defect and ventricular septal defect closure device;
- (xvi) Cardiac Re-synchronize Therapy;
- (xvii) Urethra Spinicture Devices;
- (xviii) Sling male or female;
- (xix) Prostate occlusion device; and
- (xx) Urethral Stents.

(b) For the purposes of clause (D), the thresholds limit shall be as under, -

(i) in the case of a company engaged in multiple products, any product or device for which the individual turnover (from such specific product or device) is rupees ten crore or more, or one third of the turnover, whichever is less.

(ii) in the case of a company engaged in one specific product or device, if it has net worth of rupees one hundred and fifty crore or more or the turnover is rupees twenty five crores or more;

4. Applicability for cost audit.- (1) Every company engaged in a strategic industry and covered under sub-clause (b) of clause (A) of rule 3 shall be required to get its cost records audited in accordance with these rules.

(2) In the case of a multi-product or a multi services company specified in sub-clause (b) of clause (B) and sub-clause (b) of clause (C) of rule 3, the requirement for cost audit shall apply to a product or a service for which the individual turnover (from such specific product or such specific service) is rupees one hundred crore or more;

(3) In the case of a company producing any one specific product or service specified in sub-clause (b) of clause (B) and sub-clause (b) of clause (C) of rule 3, the requirement for cost audit shall apply if the net worth of the company is rupees five hundred crore or more or the turnover from such product or such service is rupees one hundred crore or more.

(4) In the case of a company engaged in medical products or devices referred to in sub-clause (b) of clause (D) of rule 3,-

(i) which has multiple products or devices (i.e. a company producing, importing and supplying or trading in more than one medical device or product), the requirement for cost audit shall apply to a medical device or product for which the individual turnover (from such specific medical device or product) is rupees ten crore or more, or one third of the turnover, whichever is less;

(ii) which has only one product or device (i.e. a company producing, importing and supplying or trading one medical device or product), the requirement for cost audit shall apply if the net worth of the company is rupees one hundred fifty crores or more or the turnover is rupees twenty five crores or more.

5.

Maintenance of records.

(1)

Every company under these rules including all units and branches thereof, shall, in respect of each of its financial year commencing on or after the 1st day of April, 2014, maintain cost records in form CRA-1.

(2)

The cost records referred to in sub-rule (1) shall be maintained on regular basis in such manner as to facilitate calculation of per unit cost of production or cost of operations, cost of sales and margin for each of its products and activities for every financial year on monthly or quarterly or half-yearly or annual basis.

(3)

The cost records shall be maintained in such manner so as to enable the company to exercise, as far as possible, control over the various operations and costs to achieve optimum economies in Utilization of resources and these records shall also provide necessary data which is required to be furnished under these rules.

6.

Cost audit.

(1)

The category of companies specified in rule 3 and the thresholds limits laid down in rule 4, shall within one hundred and eighty days of the commencement of every financial year, appoint a cost auditor.

[Provided that before such appointment is made, the written consent of the cost auditor to such appointment, and a certificate from him or it, as provided in sub-rule (1A), shall be obtained.]

[Inserted by Notification No. G.S.R. 695(E), dated 14.7.2016 (w.e.f. 30.6.2014).]

(1A)

[The cost auditor appointed under sub-rule (1) shall submit a certificate that?

(a)

the individual or the firm, as the case may be, is eligible for appointment and is not disqualified for appointment under the Act, the Cost and Works Accountants Act, 1959(23 of 1959) and the rules or regulations made thereunder;

(b)

the individual or the firm, as the case may be, satisfies the criteria provided in section 141 of the Act, so far as may be applicable;

(c)

the proposed appointment is within the limits laid down by or under the authority of the Act; and

(d)

the list of proceedings against the cost auditor or audit firm or any partner of the audit firm pending with respect to professional matters of conduct, as disclosed in the certificate, is true and correct.]

(2)

Every company referred to in sub-rule (1) shall inform the cost auditor concerned of his or its appointment as such and file a notice of such appointment with the Central Government within a period of thirty days of the Board meeting in which such appointment is made or within a period of one hundred and eighty days of the commencement of the financial year, whichever is earlier, through electronic mode, in form CRA-2, along with the fee as specified in Companies (Registration Offices and Fees) Rules, 2014.

(3)

Every cost auditor appointed as such shall continue in such capacity till the expiry of one hundred and eighty days from the closure of the financial year or till he submits the cost audit report, for the financial year for which he has been appointed.

[Provided that the cost auditor appointed under these rules may be removed from his office before the expiry of his term, through a board resolution after giving a reasonable opportunity of being heard to the Cost Auditor and recording the reasons for such removal in writing;

Provided further that the Form CRA-2 to be filed with the Central Government for intimating appointment of another cost auditor shall enclose the relevant Board Resolution to the effect;

Provided also that nothing contained in this sub-rule shall prejudice the right of the cost auditor to resign from such office of the company.]

[Inserted by Notification No. G.S.R. 695(E), dated 14.7.2016 (w.e.f. 30.6.2014).]

(3A)

[Any casual vacancy in the office of a cost auditor, whether due to resignation, death or removal, shall be filled by the Board of Directors within thirty days of occurrence of such vacancy and the company shall inform the Central Government in Form CRA-2 within thirty days of such appointment of cost auditor.]

[Inserted by Notification No. G.S.R. 1(E), dated 31.12.2014 (w.e.f. 30.6.2014).]

(3B)

[The cost statements, including other statements to be annexed to the cost audit report, shall be approved by the Board of Directors before they are signed on behalf of the Board by any of the director authorised by the Board, for submission to the cost auditor to report thereon]

[Inserted by Notification No. G.S.R. 695(E), dated 14.7.2016 (w.e.f. 30.6.2014).]

(4)

Every cost auditor, who conducts an audit of the cost records of a company, shall submit the cost audit report along with his or its reservations or qualifications or observations or suggestions, if any, in form CRA-3.

(5)

[Every cost auditor shall forward his duly signed report to the Board of Directors of the company within a period of one hundred and eighty days from the closure of the financial year to which the report relates and the Board of Directors shall consider and examine such report, particularly any reservation or qualification contained therein.

(6)

Every company covered under these rules shall, within a period of thirty days from the date of receipt of a copy of the cost audit report, furnish the Central Government with such report alongwith full information and explanation on every reservation or qualification contained therein, in Form CRA-4in Extensible Business Reporting Language format in the manner as specified in the Companies (Filing of Documents and Forms in Extensible Business Reporting language) Rules, 2015 alongwith fees specified in the Companies (Registration Offices and Fees) Rules, 2014.]

[Substituted by Notification No. G.S.R. 695(E), dated 14.7.2016 (w.e.f. 30.6.2014).]

[Provided that the Companies which have got extension of time of holding Annual General Meeting under section 96 (1) of the Companies Act, 2013, may file form CRA-4 within resultant extended period of filing financial statements under section 137 of the Companies Act, 2013.]

[Inserted by Notification No. G.S.R. 1157(E), dated 3.12.2018 (w.e.f. 30.6.2014).]

(7)

The provisions of sub-section (12) of section 143 of the Act and the relevant rules made thereunder shall apply mutatis mutandis to a cost auditor during performance of his functions under section 148 of the Act and these rules.

7.

[* * *]

[Omitted by Notification No. G.S.R. 1(E), dated 31.12.2014 (w.e.f. 30.6.2014).]

[Inserted by Notification No. G.S.R. 695(E), dated 14.7.2016 (w.e.f. 30.6.2014).]

7. Rules not to apply in certain cases.- The requirement for cost audit under these rules shall not be applicable to a company which is covered under rule 3, and,

- (i) whose revenue from exports, in foreign exchange, exceeds seventy five per cent of its total revenue or
- (ii) which is operating from a special economic zone.

Annexure

[Form CRA-1]

[Substituted by Notification No. G.S.R. 1498(E), dated 7.12.2017 (w.e.f. 30.6.2014)]

[See rule 5(1) of the Companies (cost records and audit) Rules, 2014]

Particulars relating to the Items of Costs to be included in the Books of Accounts

1. Material Costs.-

(a)

Proper records shall be maintained showing separately all receipts, issues and balances both in quantities and cost of each item of raw material required for the production of goods or rendering of services under reference.

(b)

The material receipt shall be valued at purchase price including duties and taxes, freight inwards, insurance, and other expenditure directly attributable to procurement (net of trade discounts, rebates, taxes and duties refundable or to be credited by the taxing authorities) that can be quantified with reasonable accuracy at the time of acquisition.

(c)

Finance costs incurred in connection with the acquisition of materials shall not form part of material cost.

(d)

Self-manufactured materials or captive consumption shall be valued including direct material cost, direct employee cost, direct expenses, factory overheads, share of administrative overheads relating to production but excluding share of other administrative overheads, finance cost and marketing overheads.

(e)

Spare parts shall be recognised as property, plant and equipment when they meet the definition of property, plant and equipment and depreciated accordingly. Otherwise, such items shall be classified as inventory.

(f)

Normal loss or spoilage of material prior to reaching the factory or at places where the services are provided shall be absorbed in the cost of balance materials net of amounts recoverable from suppliers, insurers, carriers or recoveries from disposal.

(g)

Losses due to shrinkage or evaporation and gain due to elongation or absorption of moisture etc., before the material is received shall be absorbed in material cost to the extent they are normal, with corresponding adjustment in the quantity.

(h)

The forex component of imported material cost shall be converted at the rate on the date of the transaction. Any subsequent change in the exchange rate till payment or otherwise shall not form part of the material cost.

(i)

Any demurrage or detention charges, or penalty levied by transport or other authorities shall not form part of the cost of materials.

(j)

Subsidy or grant or incentive and any such payment received or receivable with respect to any material cost shall be reduced from cost of the cost object in the financial year when such subsidy or grant or incentive and any such payment is recognised as income.

(k)

Issues shall be valued using appropriate method as per the provisions contained in the accounting standard applicable for the time being in force.

(l)

Where materials are accounted at standard cost, the price variances related to materials shall be treated as part of material cost.

(m)

Any abnormal cost shall be excluded from the material cost.

(n)

Wherever, material costs include transportation costs, determination of costs of transportation shall be governed by paragraph number 9 on determination of cost of transportation.

(o)

Self-manufactured components and sub-assemblies or captive consumption shall be valued including direct material cost, direct employee cost, direct expenses, factory overheads, share of administrative overheads relating to production but excluding share of other administrative overheads, finance cost and marketing overheads.

(p)

The material cost of normal scrap or defectives which are rejects shall be included in the material cost of goods manufactured. The material cost of actual scrap or defectives, not exceeding the normal shall be adjusted in the material cost of good production. Material cost of abnormal scrap or defectives should not be included in material cost but treated as loss after giving credit to the realisable value of such scrap or defectives.

(q)

Material costs shall be directly traced to a cost object to the extent it is economically feasible or shall be assigned to the cost object on the basis of material quantity consumed or similar identifiable measure and valued as per above principles.

(r)

Where the material costs are not directly traceable to the cost object, the same shall be assigned on a suitable basis like technical estimates.

(s)

Where a material is processed or part manufactured by a third party according to specifications provided by the buyer, the processing or manufacturing charges payable to the third party shall be treated as part of the material cost.

(t)

Wherever part of the manufacturing operations or activity is subcontracted, the subcontract charges related to materials shall be treated as direct expenses and assigned directly to the cost object.

(u)

The cost of indirect materials shall be assigned to the various cost objects based on a suitable basis such as actual usage or technical norms or a similar identifiable measure.

(v)

The cost of materials like catalysts, dies, tools, moulds, patterns etc. which are relatable to production over a period of

time shall be amortised over the production units benefited by such cost.

(w)

The cost of indirect material with life exceeding one year shall be included in cost over the useful life of the material.

2. Employee Cost.-

(a)

Proper records shall be maintained in respect of employee costs in such a manner as to enable the company to book these expenses cost centre wise or department wise with reference to goods or services under reference and to furnish necessary particulars. Where the employees work in such a manner that it is not possible to identify them with any specific cost centre or service centre or department, the employees cost shall be apportioned to the cost centre or service centres or departments on equitable and reasonable basis and applied consistently.

(b)

Employee Cost shall be ascertained taking into account the gross pay including all allowances payable along with the cost to the employer of all the benefits, including the cost of retirement benefits charged in the financial statements in an accounting period. In case of companies to which Indian Accounting Standards apply, any re-measurement of such costs recognised in other comprehensive income shall not form part of the employee cost.

(c)

Bonus whether payable as a statutory minimum or on a sharing of surplus shall be treated as part of employee cost. Ex gratia payable in lieu of or in addition to bonus shall also be treated as part of the employee cost.

(d)

Remuneration payable to managerial personnel including Executive Directors on the Board and other officers of a corporate body under a statute shall be considered as part of the employee cost of the year under reference whether the whole or part of the remuneration is computed as a per cent. of profits. Remuneration paid to non-executive directors shall not form part of employee cost but shall form part of administrative overheads.

(e)

Separation costs related to voluntary retirement, retrenchment, termination and other related matters shall be amortised over the period benefitting from such costs.

(f)

Employee cost shall not include imputed costs.

(g)

Cost of idle time is ascertained by the idle hours multiplied by the hourly rate applicable to the idle employee or a group of employees.

(h)

Where employee cost is accounted at standard cost, variances due to normal reasons related to employee cost shall be treated as part of employee cost. Variances due to abnormal reasons shall be treated as part of abnormal cost.

(i)

Subsidy or grant or incentive and any such payment received or receivable with respect to any employee cost shall be reduced from cost of the cost object in the financial year when such subsidy or grant or incentive and any such payment is recognised as income.

(j)

Any abnormal cost where it is material and quantifiable shall not form part of the employee cost.

(k)

Penalties, damages paid to statutory authorities or other third parties shall not form part of the employee cost.

(l)

The cost of free housing, free conveyance and any other similar benefits provided to an employee shall be determined at the total cost of all resources consumed in providing such benefits.

(m)

Any recovery from the employee towards any benefit provided, namely, housing shall be reduced from the employee cost.

(n)

Any change in the cost accounting principles applied for the determination of the employee cost should be made only if it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an

enterprise.

(o)

Where the employee services are traceable to a cost object, such employees' cost shall be assigned to the cost object on the basis such as time consumed or number of employees engaged or other related basis or similar identifiable measure.

(p)

While determining whether a particular employee cost is chargeable to a separate cost object, the principle of materiality shall be adhered to.

(q)

Where the employee costs are not directly traceable to the cost object, the same shall be assigned on suitable basis like estimates of time based on time study.

(r)

The amortised separation costs related to voluntary retirement, retrenchment, and termination or other related matters for the period shall be treated as indirect cost and assigned to the cost objects in an appropriate manner provided that unamortised amount related to discontinued operations, shall not be treated as employee cost.

(s)

Recruitment costs, training cost and other such costs shall be treated as overheads and dealt with accordingly.

(t)

Overtime premium shall be assigned directly to the cost object or treated as overheads depending on the economic feasibility and the specific circumstance requiring such overtime.

(u)

Idle time cost shall be assigned direct to the cost object or treated as overheads depending on the economic feasibility and the specific circumstances causing such idle time.

3. Utilities.-

(a)

Proper records shall be maintained showing the quantity and cost of each major utility such as power, water, steam, effluent treatment, and other related utilities produced and consumed by the different cost centres in such detail as to have particulars for each utility separately.

(b)

Each type of utility shall be treated as a distinct cost object.

(c)

Cost of utilities purchased shall be measured at cost of purchase including duties and taxes, transportation cost, insurance and other expenditure directly attributable to procurement (net of trade discounts, rebates, taxes and duties refundable or to be credited) that can be quantified with reasonable accuracy at the time of acquisition.

(d)

Cost of self-generated utilities for own consumption shall comprise direct material cost, direct employee cost, direct expenses and factory overheads.

(e)

In case of utilities generated for the purpose of inter unit transfers, the distribution cost incurred for such transfers shall be added to the cost of utilities determined as above.

(f)

Cost of utilities generated for the intercompany transfers shall comprise direct material cost, direct employee cost, direct expenses, factory overheads, distribution cost and share of administrative overheads.

(g)

Cost of utilities generated for the sale to outside parties shall comprise direct material cost, direct employee cost, direct expenses, factory overheads, distribution cost, share of administrative overheads and marketing overheads. The sale value of such utilities shall also include the margin.

(h)

Finance costs incurred in connection with the utilities shall not form part of cost of utilities.

(i)

The cost of utilities shall include the cost of distribution of such utilities. The cost of distribution will consist of the cost of

delivery of utilities up to the point of consumption.

(j)

Cost of utilities shall not include imputed costs.

(k)

Where cost of utilities is accounted at standard cost, the price variances related to utilities shall be treated as part of cost of utilities and the portion of usage variances due to normal reasons shall be treated as part of cost of utilities. Usage variances due to abnormal reasons shall be treated as part of abnormal cost.

(l)

Subsidy or grant or incentive and any such payment received or receivable with respect to any cost of utilities shall be reduced from cost of the cost object in the financial year when such subsidy or grant or incentive and any such payment is recognised as income.

(m)

The cost of production and distribution of utilities shall be determined based on the normal capacity or actual capacity utilisation whichever is higher and unabsorbed cost, if any, shall be treated as abnormal cost. Cost of a stand-by utility shall include the committed costs of maintaining such a utility.

(n)

Any abnormal cost where it is material and quantifiable shall not form part of the cost of utilities.

(o)

Penalties, damages paid to statutory authorities or other third parties shall not form part of the cost of utilities.

(p)

Credits or recoveries relating to the utilities including cost of utilities provided to outside parties, material and quantifiable, shall be deducted from the total cost of utility to arrive at the net cost of utility.

(q)

Any change in the cost accounting principles applied for the measurement of the cost of utilities shall be made only if, it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an organisation.

(r)

While assigning cost of utilities, traceability to a cost object in an economically feasible manner shall be the guiding principle.

(s)

Where the cost of utilities is not directly traceable to cost object, it shall be assigned on the most appropriate basis.

(t)

The most appropriate basis of distribution of cost of a utility to the departments consuming services is to be derived from usage parameters.

4. Direct Expenses.-

(a)

Proper records shall be maintained in respect of direct expenses in such a manner as to enable company to book these expenses cost centre wise or cost object or department wise with reference to goods or services under reference and to furnish necessary particulars.

(b)

Direct expenses incurred for the use of bought out resources shall be determined at invoice or agreed price including duties and taxes, and other expenditure directly attributable thereto net of trade discounts, rebates, taxes and duties refundable or to be credited.

(c)

Other direct expenses shall be determined on the basis of amount incurred in connection therewith.

(d)

Direct expenses paid or incurred in lump-sum or which are in the nature of 'one - time' payment, shall be amortised on the basis of the estimated output or benefit to be derived from such direct expenses.

(e)

If an item of direct expenses does not meet the test of materiality, it can be treated as part of overheads.

(f)

Finance costs incurred in connection with the self-generated or procured resources shall not form part of direct expenses. Direct expenses shall not include imputed costs.

(g)

Where direct expenses are accounted at standard cost, variances due to normal reasons shall be treated as part of the direct expenses. Variances due to abnormal reasons shall not form part of the direct expenses.

(h)

Subsidy or grant or incentive and any such payment received or receivable with respect to any direct expenses shall be reduced from cost of the cost object in the financial year when such subsidy or grant or incentive and any such payment is recognised as income.

(i)

Any abnormal portion of the direct expenses where it is material and quantifiable shall not form part of the direct expenses.

(j)

Penalties, damages paid to statutory authorities or other third parties shall not form part of the direct expenses.

(k)

Credits or recoveries relating to the direct expenses, material and quantifiable, shall be deducted to arrive at the net direct expenses.

(l)

Any change in the cost accounting principles applied for the measurement of the direct expenses should be made only if, it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an organisation.

(m)

Direct expenses that are directly traceable to the cost object shall be assigned to that cost object.

5. Repairs and Maintenance.-

(a)

Proper records showing the expenditure incurred by the workshop, tool room and on repairs and maintenance in the various cost centres or departments shall be maintained under different heads.

(b)

Repairs and maintenance cost shall be the aggregate of direct and indirect cost relating to repairs and maintenance activity. Direct cost shall include the cost of materials, consumable stores, spares, manpower, equipment usage, utilities and other identifiable resources consumed in such activity. Indirect cost shall include the cost of resources common to various repairs and maintenance activities such as manpower, equipment usage and other costs allocable to such activities.

(c)

Cost of in-house repairs and maintenance activity shall include cost of materials, consumable stores, spares, manpower, equipment usage, utilities, and other resources used in such activity.

(d)

Cost of repairs and maintenance activity carried out by outside contractors inside the entity shall include charges payable to the contractor and cost of materials, consumable stores, spares, manpower, equipment usage, utilities, and other costs incurred by the entity for such jobs.

(e)

Cost of repairs and maintenance jobs carried out by contractor at its premises shall be determined at invoice or agreed price including duties and taxes, and other expenditure directly attributable thereto net of discounts (other than cash discount), taxes and duties refundable or to be credited. This cost shall also include the cost of other resources provided to the contractors.

(f)

Cost of repairs and maintenance jobs carried out by outside contractors shall include charges made by the contractor and cost of own materials, consumable stores, spares, manpower, equipment usage, utilities and other costs used in such jobs.

(g)

Each type of repairs and maintenance shall be treated as a distinct activity, if material and identifiable.

(h)

Cost of repairs and maintenance activity shall be measured for each major asset category separately.

(i)

Cost of spares replaced which do not enhance the future economic benefits from the existing asset beyond its previously assessed standard of performance shall be included under repairs and maintenance cost.

(j)

The cost of major overhaul shall be amortised on a rational basis.

(k)

Finance costs incurred in connection with the repairs and maintenance activities shall not form part of repairs and maintenance costs.

(l)

Repairs and maintenance costs shall not include imputed costs.

(m)

Price variances related to repairs and maintenance, where standard costs are in use, shall be treated as part of repairs and maintenance cost. The portion of usage variances attributable to normal reasons shall be treated as part of repairs and maintenance cost. Usage variances attributable to abnormal reasons shall be excluded from repairs and maintenance cost.

(n)

Subsidy or grant or incentive and any such payment received or receivable with respect to repairs and maintenance activity shall be reduced from cost of the cost object in the financial year when such subsidy or grant or incentive and any such payment is recognised as income.

(o)

Any repairs and maintenance cost resulting from some abnormal circumstances, namely, major fire, explosions, flood and similar events, if material and quantifiable, shall not form part of the repairs and maintenance cost.

(p)

Fines, penalties, damages and similar levies paid to statutory authorities or other third parties shall not form part of the repairs and maintenance cost.

(q)

Credits or recoveries relating to the repairs and maintenance activity, material and quantifiable, shall be deducted to arrive at the net repairs and maintenance cost.

(r)

Any change in the cost accounting principles applied for the measurement of the repairs and maintenance cost should be made only if, it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an organisation.

(s)

Repairs and maintenance costs shall be traced to a cost object to the extent economically feasible.

(t)

Where the repairs and maintenance cost is not directly traceable to cost object, it shall be assigned based on either of the following the principles of (1) Cause and Effect - Cause is the process or operation or activity and effect is the incurrence of cost and (2) Benefits received - overheads are to be apportioned to the various cost objects in proportion to the benefits received by them.

(u)

If the repairs and maintenance cost (including the share of the cost of reciprocal exchange of services) is shared by several cost objects, the related cost shall be measured as an aggregate and distributed among the cost objects.

6. Fixed Assets and Depreciation.-

(a)

Proper and adequate records shall be maintained for assets used for production of goods or rendering of services under reference in respect of which depreciation or amortisation has to be provided for. These records shall, inter-alia, indicate grouping of assets under each good or service, the cost of acquisition of each item of asset including installation charges, date of acquisition and rate of depreciation.

(b)

The depreciation and amortisation shall be the amount recognised as an expense for the year in the financial statements, which shall be measured as per the provisions contained in Schedule II of the Companies Act, 2013 and the accounting standards applicable for the time being in force. The amount of Depreciation and Amortisation not recognised as expense in the financial statements shall be treated as a non-cost item.

(c)

Depreciation on an asset which is temporarily retired from production of goods and services shall be considered as abnormal cost for the period when the asset is not in use.

(d)

Impairment loss on assets shall be excluded from cost of production/service.

(e)

Spare parts, stand-by equipment and servicing equipment shall be recognised as property, plant and equipment when they meet the definition of property, plant and equipment and depreciated accordingly. Otherwise, such items shall be classified as inventory.

(f)

Depreciation shall be traced to the cost object to the extent economically feasible.

(g)

Where the depreciation is not directly traceable to cost object, it shall be assigned based on either of the following two principles; namely:-

i) Cause and Effect - Cause is the process or operation or activity and effect is the incurrence of cost and

ii) Benefits received - overheads are to be apportioned to the various cost objects in proportion to the benefits received by them.

7. Overheads.-

(a)

Proper records shall be maintained for various items of indirect expenses comprising overheads pertaining to goods or services under reference. These expenses shall be analysed, classified and grouped according to functions.

(b)

Overheads representing procurement of resources shall be determined at invoice or agreed price including duties and taxes, and other expenditure directly attributable thereto net of discounts (other than cash discounts), taxes and duties refundable or to be credited.

(c)

Overheads other than those referred to above shall be determined on the basis of cost incurred in connection therewith.

(d)

Any abnormal cost where it is material and quantifiable shall not form part of the overheads.

(e)

Finance costs incurred in connection with procured or self-generated resources shall not form part of overheads.

(f)

Overheads shall not include imputed cost.

(g)

Overhead variances attributable to normal reasons shall be treated as part of overheads. Overhead variances attributable to abnormal reasons shall be excluded from overheads.

(h)

Subsidy or grant or incentive and any such payment received or receivable with respect to overheads shall be reduced from cost of the cost object in the financial year when such subsidy or grant or incentive and any such payment is recognised as income.

(i)

Fines, penalties, damages and similar levies paid to statutory authorities or other third parties shall not form part of the overheads.

(j)

Credits or recoveries relating to the overheads, material and quantifiable, shall be deducted from the total overhead to arrive at the net overheads. Where the recovery exceeds the total overheads, the balance recovery shall be treated as other income.

(k)

Any change in the cost accounting principles applied for the measurement of the overheads shall be made only if, it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an entity.

(l)

While assigning overheads, traceability to a cost object in an economically feasible manner shall be the guiding principle. The cost which can be traced directly to a cost object shall be directly assigned.

(m)

[Overheads shall be classified according to functions, viz., works, administration, selling and distribution. Works overheads, also known as Production Overheads, Operation Overheads, Factory Overheads or Manufacturing Overheads, shall be the indirect costs involved in the production of a product or in providing service. Administrative overheads shall be the aggregate of cost of resources consumed in activities relating to general management and administration of an organisation. Selling and Distribution overheads shall be the aggregate of cost of resources consumed in the selling and distribution activities of the organization.]

[Substituted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

(n)

Assignment of overheads to the cost objects shall be based on either of the following two principles: (1) Cause and Effect - Cause is the process or operation or activity and effect is the incurrence of cost and (2) Benefits received - overheads are to be apportioned to the various cost objects in proportion to the benefits received by them.

(o)

The variable production overheads shall be absorbed to products or services based on actual capacity utilisation.

(p)

The fixed production overheads shall be absorbed based on the normal capacity.

(q)

[In case of leased assets, if the lease is an operating lease, the entire rentals shall be included in the respective overheads. If the lease is a financial lease, the finance cost portion shall be segregated and treated as part of finance costs.]

[Substituted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

(r)

[Selling and Distribution Overheads, the benefits of which are expected to be derived over a long period, shall be amortized on a rational basis.]

[Substituted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

(s)

[Any demurrage or detention charges or penalty levied by the transportation or other authorities in respect of distribution activity shall not form part of Selling and Distribution Overheads.]

[Substituted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

[***]

[Omitted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

8. Administrative Overheads.-

(a) Administrative overheads shall be the aggregate of cost of resources consumed in activities relating to general management and administration of an organisation.

(b) In case of leased assets, if the lease is an operating lease, the entire rentals shall be included in the administrative overheads. If the lease is a financial lease, the finance cost portion shall be segregated and treated as part of finance costs.

(c) The cost of software (developed in house, purchased, licensed or customised), including up-gradation cost shall be amortised over its estimated useful life.

(d) The cost of administrative services procured from outside shall be determined at invoice or agreed price including duties and taxes, and other expenditure directly attributable thereto net of discounts (other than cash discount), taxes and duties refundable or to be credited.

(e) Subsidy or grant or incentive and any such payment received or receivable with respect to any administrative overheads shall be reduced from cost of the cost object in the financial year when such subsidy or grant or incentive and

any such payment is recognised as income.

(f) Administrative overheads shall not include any abnormal administrative cost.

(g) Fines, penalties, damages and similar levies paid to statutory authorities or other third parties shall not form part of the administrative overheads.

(h) Credits or recoveries relating to the administrative overheads including those rendered without any consideration, material and quantifiable, shall be deducted to arrive at the net administrative overheads.

(i) Any change in the cost accounting principles applied for the measurement of the administrative overheads should be made only if it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an organisation.

(j) While assigning administrative overheads, traceability to a cost object in an economically feasible manner shall be the guiding principle.

(k) Assignment of administrative overheads to the cost objects shall be based on either of the following two principles; namely:-

(i) Cause and Effect - Cause is the process or operation or activity and effect is the incurrence of cost.

(ii) Benefits received - overheads are to be apportioned to the various cost objects in proportion to the benefits received by them.

9.

Transportation Cost.-

(a)

Proper records shall be maintained for recording the actual cost of transportation showing each element of cost such as freight, cartage, transit insurance and others after adjustment for recovery of transportation cost. Abnormal costs relating to transportation, if any, are to be identified and recorded for exclusion of computation of average transportation cost.

(b)

In case of a manufacturer having his own transport fleet, proper records shall be maintained to determine the actual operating cost of vehicles showing details of various elements of cost such as salaries and wages of driver, cleaners and others, cost of fuel, lubricant grease, amortized cost of tyres and battery, repairs and maintenance, depreciation of the vehicles, distance covered and trips made, goods hauled and transported to the depot.

(c)

In case of hired transport charges incurred for despatch of goods, complete details shall be recorded as to date of despatch, type of transport used, description of the goods, destination of buyer, name of consignee, challan number, quantity of goods in terms of weight or volume, distance involved, amount paid and other related details.

(d)

Records shall be maintained separately for inward and outward transportation cost specifying the details particulars of goods despatched, name of supplier or recipient, amount of freight etc.

(e)

Separate records shall be maintained for identification of transportation cost towards inward movement of material (procurement) and transportation cost of outward movement of goods removed or sold for both home consumption and export.

(f)

Records for transportation cost from factory to depot and thereafter shall be maintained separately.

(g)

Records for transportation cost for carrying any material or product to job-workers place and back shall be maintained separately so as include the same in the transaction value of the product.

(h)

Records for transportation cost for goods involved exclusively for trading activities shall be maintained separately and the same shall not be included for claiming any deduction for calculating assessable value excisable goods cleared for home consumption.

(i)

Records of transportation cost directly allocable to a particular category of products shall be maintained separately so that allocation can be made.

(j)

For common transportation cost both for own fleet or hired ones, proper records for basis of apportionment shall be maintained.

(k)

[Records for transportation costs for exempted goods, taxable goods cleared for export shall be maintained separately.]
[Substituted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

(l)

Separate records of cost for mode of transportation other than road like ship or air are to be maintained, which shall be included in total cost of transportation.

(m)

Inward transportation costs shall form the part of the cost of procurement of materials which are to be identified for proper allocation or apportionment to the materials or products.

(n)

Outward transportation cost shall form the part of the cost of sale and shall be allocated or apportioned to the materials and goods on a suitable basis.

(o)

The following basis shall be used, in order of priority, for apportionment of outward transportation cost depending upon the nature of products, unit of measurement followed and type of transport used, namely :-

i) Weight;

ii) Volume of goods;

iii) Tonne-Km;

iv) Unit or Equivalent unit;

v) Value of goods;

vi) Per cent. of usage of space.

(p)

Once a basis of apportionment is adopted, the same shall be followed consistently.

(q)

For determining the transportation cost per unit, distance shall be factored in to arrive at weighted average cost.

(r)

Abnormal and non-recurring cost shall not be a part of transportation cost.

10.

Royalty and Technical Know-how.-

(a)

Adequate records shall be maintained showing royalty or technical know-how fee including other recurring or non-recurring payments of similar nature, if any, made for the goods or services under reference to collaborators or technology suppliers in terms of agreements entered into with them.

(b)

Royalty and technical know-how fee paid or incurred in lump-sum or which are in the nature of 'one-time' payment, shall be amortised on the basis of the estimated output or benefit to be derived from the related asset. Amortisation of the amount of royalty or technical know-how fee paid for which the benefit is ensued in the current or future periods shall be determined based on the production or service volumes estimated for the period over which the asset is expected to benefit the entity.

(c)

Amount of the royalty and technical know-how fee shall not include finance costs and imputed costs.

(d)

Subsidy or grant or incentive and any such payment received or receivable with respect to amount of royalty and technical know-how fee shall be reduced from cost of the cost object in the financial year when such subsidy or grant or incentive and any such payment is recognised as income.

(e)

Penalties, damages paid to statutory authorities or other third parties shall not form part of the amount of royalty and technical know-how fee.

(f)

Credits or recoveries relating to the amount royalty and technical know-how fee, material and quantifiable, shall be deducted to arrive at the net amount of royalty and technical know-how fee.

(g)

Any change in the cost accounting principles applied for the measurement of the amount of royalty and technical know-how fee should be made only if, it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an organisation.

(h)

Royalty and technical know-how fee that is directly traceable to a cost object shall be assigned to that cost object. In case such fee is not directly traceable to a cost object then it shall be assigned on any of the following basis, namely:-

- i) Units produced;
- ii) Units sold; or
- iii) Sales value.

(i)

The amount of royalty fee paid for mining rights shall form part of the cost of material.

(j)

The amount of royalty and technical know-how fee shall be assigned on the nature or purpose of such fee. The amount of royalty and technical know-how fee related to product or process know how shall be treated as cost of production; if it is related to trademarks or brands shall be treated as cost of sales.

11.

Research and Development Expenses.-

(a)

Research and development costs shall include all the costs that are directly traceable to research or development activities or that can be assigned to research and development activities strictly on the basis of (a) cause and effect or (b) benefits received. Such costs shall include the following elements, namely:-

- i. The cost of materials and services consumed in research and development activities;
- ii. Cost of bought out materials and hired services as per invoice or agreed price including duties and taxes directly attributable thereto net of trade discounts, rebates, taxes and duties refundable or to be credited;
- iii. The salaries, wages and other related costs of personnel engaged in research and development activities;
- iv. The depreciation of equipment and facilities, and other tangible assets, and amortisation of intangible assets to the extent that they are used for research and development activities;
- v. Overhead costs, other than general administrative costs, related to research and development activities;
- vi. Costs incurred for carrying out research and development activities by other entities and charged to the entity;
- vii. Expenditure incurred in securing copyrights or licences;
- viii. Expenditure incurred for developing computer software;
- ix. Costs incurred for the design of tools, jigs, moulds and dies; and
- x. Other costs that can be directly attributed to research and development activities and can be identified with specific projects.

(b)

Subsidy or grant or incentive and any such payment received or receivable with respect to research and development activity shall be reduced from cost of the cost object in the financial year when such subsidy or grant or incentive and any such payment is recognised as income.

(c)

Any abnormal cost where it is material and quantifiable shall not form part of the research and development cost.

(d)

Fines, penalties, damages and similar levies paid to statutory authorities or other third parties shall not form part of the research and development cost.

(e)

Research and development costs shall not include imputed costs.

(f)

Credits or recoveries relating to research and development cost, if material and quantifiable, including from the sale of output produced from the research and development activity shall be deducted from the research and development cost.

(g)

Research and development costs attributable to a specific cost object shall be assigned to that cost object directly. Research and development costs that are not attributable to a specific product or process shall not form part of the product cost.

(h)

Development cost which results in the creation of an intangible asset shall be amortised over its useful life. Assignment of development costs shall be based on the principle of "benefits received".

(i)

Research and development costs incurred for the development and improvement of an existing process or product shall be included in the cost of production. In case the research and development activity related to the improvement of an existing process or product continues for more than one accounting period, the cost of the same shall be accumulated and amortised over the estimated period of use of the improved process or estimated period over which the improved product will be produced by the entity after the commencement of commercial production, as the case may be, if the improved process or product is distinctly different from the existing process or product and the product is marketed as a new product. The amount allocated to a particular period shall be included in the cost of production of that period. If the expenditure is only to improve the quality of the existing product or minor modifications in attributes, the principle shall not be applied.

(j)

Development costs attributable to a saleable service namely; providing technical know-how to outside parties shall be accumulated separately and treated as cost of providing the service.

12.

Quality Control Expenses.-

(a)

Adequate records shall be maintained to indicate the expenses incurred in respect of quality control department or cost centre or service centre for goods or services under reference. Where these services are also utilised for other goods or services of the company, the basis of apportionment to goods or services under reference and to other goods or services shall be on equitable and reasonable basis and applied consistently.

(b)

Quality control cost incurred in-house shall be the aggregate of the cost of resources consumed in the Quality control activities of the entity. The cost of resources procured from outside shall be determined at invoice or agreed price including duties and taxes, and other expenditure directly attributable thereto net of discounts (other than cash discounts), taxes and duties refundable or to be credited by the Tax Authorities. Such cost shall include cost of conformance to quality, namely, (a) prevention cost; and (b) appraisal cost.

(c)

Identification of quality control costs shall be based on traceability in an economically feasible manner.

(d)

Quality control costs other than those referred to above shall be determined on the basis of amount incurred in connection therewith.

(e)

Finance costs incurred in connection with the self-generated or procured resources shall not form part of quality control cost.

(f)

Quality control costs shall not include imputed costs.

(g)

Subsidy or grant or incentive and any such payment received or receivable with respect to any quality control cost shall be reduced from cost of the cost object in the financial year when such subsidy or grant or incentive and any such payment is recognised as income.

(h)

Any abnormal portion of the quality control cost where it is material and quantifiable shall not form part of the cost of quality control.

(i)

Penalties, damages paid to statutory authorities or other third parties shall not form part of the quality control cost.

(j)

Any change in the cost accounting principles applied for the measurement of the quality control cost shall be made only if, it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an organisation.

(k)

Quality control cost that is directly traceable to the cost object shall be assigned to that cost object. Assignment of quality control cost to the cost objects shall be based on benefits received by them on the principles, namely:-

(i)

Cause and Effect - Cause is the process or operation or activity and effect is the incurrence of cost and

(ii)

Benefits received - overheads are to be apportioned to the various cost objects in proportion to the benefits received by them.

13.

Pollution Control Expenses.-

(a)

Adequate records shall be maintained to indicate the expenses incurred in respect of pollution control. The basis of apportionment to goods or services under reference and to other goods or services shall be on equitable and reasonable basis and applied consistently.

(b)

Pollution Control costs shall be the aggregate of direct and indirect cost relating to Pollution Control activity. Direct cost shall include the cost of materials, consumable stores, spares, manpower, equipment usage, utilities, resources for testing and certification and other identifiable resources consumed in activities such as waste processing, disposal, remediation and others. Indirect cost shall include the cost of resources common to various pollution control activities such as pollution control registration and such like expenses.

(c)

Costs of pollution control which are internal to the entity should be accounted for when incurred. They should be measured at the historical cost of resources consumed.

(d)

Future remediation or disposal costs which are expected to be incurred with reasonable certainty as part of onerous contract or constructive obligation, legally enforceable shall be estimated and accounted based on the quantum of pollution generated in each period and the associated cost of remediation or disposal in future.

(e)

Contingent future remediation or disposal costs e.g. those likely to arise on account of future legislative changes on pollution control shall not be treated as cost until the incidence of such costs become reasonably certain and can be measured.

(f)

External costs of pollution which are generally the costs imposed on external parties including social costs are difficult to estimate with reasonable accuracy and are excluded from general purpose cost statements.

(g)

Social costs of pollution are measured by economic models of cost measurement. The cost by way of compensation by the polluting entity either under future legislation or under social pressure cannot be quantified by traditional models of cost measurement. They are best kept out of general purpose cost statements.

(h)

Cost of in-house pollution control activity shall include cost of materials, consumable stores, spares, manpower, equipment usage, utilities, and other resources used in such activity.

(i)

Cost of pollution control activity carried out by outside contractors inside the entity shall include charges payable to the contractor and cost of materials, consumable stores, spares, manpower, equipment usage, utilities, and other costs incurred by the entity for such jobs.

(j)

Cost of pollution control jobs carried out by contractor at its premises shall be determined at invoice or agreed price including duties and taxes, and other expenditure directly attributable thereto net of discounts (other than cash discount), taxes and duties refundable or to be credited. This cost shall also include the cost of other resources provided to the contractors.

(k)

Cost of pollution control jobs carried out by outside contractors shall include charges made by the contractor and cost of own materials, consumable stores, spares, manpower, equipment usage, utilities and other costs used in such jobs.

(l)

Each type of pollution control namely, water, air, soil pollution shall be treated as a distinct activity, if material and identifiable.

(m)

Finance costs incurred in connection with the pollution control activities shall not form part of pollution control costs.

(n)

Pollution control costs shall not include imputed costs.

(o)

Price variances related to pollution control, where standard costs are in use, shall be treated as part of pollution control cost. The portion of usage variances attributable to normal reasons shall be treated as part of pollution control cost. Usage variances attributable to abnormal reasons shall be excluded from pollution control cost.

(p)

Subsidy or grant or incentive and any such payment received or receivable with respect to pollution control activity shall be reduced from cost of the cost object in the financial year when such subsidy or grant or incentive and any such payment is recognised as income.

(q)

Any pollution control cost resulting from abnormal circumstances, if material and quantifiable, shall not form part of the pollution control cost.

(r)

Fines, penalties, damages and similar levies paid to statutory authorities or other third parties shall not form part of the pollution control cost.

(s)

Credits or recoveries relating to the pollution control activity, material and quantifiable, shall be deducted to arrive at the net pollution control cost.

(t)

Research and development cost to develop new process, new products or use of new materials to avoid or mitigate pollution shall be treated as research and development costs and not included under pollution control costs. Development costs incurred for commercial development of such product, process or material shall be included in pollution control costs.

(u)

Any change in the cost accounting principles applied for the measurement of the pollution control cost should be made only if, it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an organisation.

(v)

Pollution control costs shall be traced to a cost object to the extent economically feasible.

(w)

Direct costs of pollution control such as treatment and disposal of waste shall be assigned directly to the product, where traceable economically.

(x)

Where these costs are not directly traceable to the product but are traceable to a process which causes pollution, the costs shall be assigned to the products passing through the process based on the quantity of the pollutant generated by the product.

(y)

Where the pollution control cost is not directly traceable to cost object, it shall be treated as overhead and assigned

based on either of the following two principles; namely:-

(i)

Cause and Effect - Cause is the process or operation or activity and effect is the incurrence of cost; and

(ii)

Benefits received - overheads are to be apportioned to the various cost objects in proportion to the benefits received by them.

14.

Service Department Expenses.-

(a)

Proper records shall be maintained in respect of service departments, that is, cost centres which primarily provides auxiliary services across the enterprise, to indicate expenses incurred in respect of each such service cost centre like engineering, work shop, designing, laboratory, safety, transport, computer cell, welfare and other related centres.

(b)

Each identifiable service cost centre shall be treated as a distinct cost object for measurement of the cost of services subject to the principle of materiality.

(c)

Cost of service cost centre shall be the aggregate of direct and indirect cost attributable to services being rendered by such cost centre.

(d)

Cost of in-house services shall include cost of materials, consumable stores, spares, manpower, equipment usage, utilities, and other resources used in such service.

(e)

Cost of other resources shall include related overheads.

(f)

Cost of services rendered by contractors within the facilities of the entity shall include charges payable to the contractor and cost of materials, consumable stores, spares, manpower, equipment usage, utilities, and other resources provided to the contractors for such services.

(g)

Cost of services rendered by contractors at their premises shall be determined at invoice or agreed price including duties and taxes, and other expenditure directly attributable thereto net of discounts (other than cash discount), taxes and duties refundable or to be credited. This cost shall also include the cost of resources provided to the contractors.

(h)

Cost of services for the purpose of inter unit transfers shall also include distribution costs incurred for such transfers.

(i)

Cost of services for the purpose of inter-company transfers shall also include distribution cost incurred for such transfers and administrative overheads.

(j)

Cost of services rendered to outside parties shall also include distribution cost incurred for such transfers, administrative overheads and marketing overheads.

(k)

Finance costs incurred in connection with the service cost centre shall not form part of the cost of service cost centre.

(l)

The cost of service cost centre shall not include imputed costs.

(m)

Where the cost of service cost centre is accounted at standard cost, the price and usage variances related to the services cost centre shall be treated as part of cost of services. Usage variances due to abnormal reasons shall be treated as part of abnormal cost.

(n)

Subsidy or grant or incentive and any such payment received or receivable with respect to any service cost centre shall be reduced from cost of the cost object in the financial year when such subsidy or grant or incentive and any such payment is recognised as income.

(o)

The cost of production and distribution of the service shall be determined based on the normal capacity or actual capacity utilisation whichever is higher and unabsorbed cost, if any, shall be treated as abnormal cost. Cost of a Stand-by service shall include the committed costs of maintaining such a facility for the service.

(p)

Any abnormal cost where it is material and quantifiable shall not form part of the cost of the service cost centre.

(q)

Penalties, damages paid to statutory authorities or other third parties shall not form part of the cost of the service cost centre.

(r)

Credits or recoveries relating to the service cost centre including charges for services rendered to outside parties, material and quantifiable, shall be reduced from the total cost of that service cost centre.

(s)

Any change in the cost accounting principles applied for the measurement of the cost of service cost centre shall be made, only if it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an enterprise.

(t)

While assigning cost of services, traceability to a cost object in an economically feasible manner shall be the guiding principle.

(u)

Where the cost of services rendered by a service cost centre is not directly traceable to a cost object, it shall be assigned on the most appropriate basis.

(v)

The most appropriate basis of distribution of cost of a service cost centre to the cost centres consuming services is to be derived from logical parameters which could be related to the usage of the service rendered. The parameter shall be equitable, reasonable and consistent.

15.

Packing Expenses.-

(a)

Proper records shall be maintained separately for domestic and export packing showing the quantity and cost of various packing materials and other expenses incurred on primary or secondary packing indicating the basis of valuation.

(b)

The packing material receipts should be valued at purchase price including duties and taxes, freight inwards, insurance, and other expenditure directly attributable to procurement (net of trade discounts, rebates, taxes and duties refundable or to be credited) that can be quantified at the time of acquisition.

(c)

Finance costs directly incurred in connection with the acquisition of packing material shall not form part of packing material cost.

(d)

Self-manufactured packing materials shall be valued including direct material cost, direct employee cost, direct expenses, job charges, factory overheads including share of administrative overheads comprising factory management and administration and share of research and development cost incurred for development and improvement of existing process or product.

(e)

Normal loss or spoilage of packing material prior to receipt in the factory shall be absorbed in the cost of balance materials net of amounts recoverable from suppliers, insurers, carriers or recoveries from disposal.

(f)

The forex component of imported packing material cost shall be converted at the rate on the date of the transaction. Any subsequent change in the exchange rate till payment or otherwise shall not form part of the packing material cost.

(g)

Any demurrage, detention charges or penalty levied by the transport agency or any authority shall not form part of the

cost of packing materials.

(h)

Subsidy or grant or incentive and any such payment received or receivable with respect to packing material shall be reduced from cost of the cost object in the financial year when such subsidy or grant or incentive and any such payment is recognised as income.

(i)

Issue of packing materials shall be valued using appropriate method as per the provisions contained in the accounting standard applicable for the time being in force.

(j)

Wherever, packing material costs include transportation costs, determination of costs of transportation shall be in accordance with paragraph number 9 on determination of cost of transportation.

(k)

Packing material costs shall not include imputed costs.

(l)

Where packing materials are accounted at standard cost, the price variances related to such materials shall be treated as part of packing material cost and the portion of usage variances due to normal reasons shall be treated as part of packing material cost. Usage variances due to abnormal reasons shall be treated as part of abnormal cost.

(m)

The normal loss arising from the issue or consumption of packing materials shall be included in the packing materials cost.

(n)

Any abnormal cost where it is material and quantifiable shall be excluded from the packing material cost.

(o)

The credits or recoveries in the nature of normal scrap arising from packing materials if any, should be deducted from the total cost of packing materials to arrive at the net cost of packing materials.

(p)

Packing material costs shall be directly traced to a cost object to the extent it is economically feasible.

(q)

Where the packing material costs are not directly traceable to the cost object, these may be assigned on the basis of quantity consumed or similar measures like technical estimates.

(r)

The packing material cost of reusable packing shall be assigned to the cost object taking into account the number of times or the period over which it is expected to be reused.

(s)

Cost of primary packing materials shall form part of the cost of production.

(t)

Cost of secondary packing materials shall form part of distribution overheads.

16.

Finance Costs.-

(a)

Finance costs are interest and other costs incurred by an entity in connection with the financing arrangements and shall be measured in accordance with the accounting standards applicable for the time being in force.

(b)

Finance costs incurred shall be identified for

i) acquisition or construction or production of qualifying assets including fixed assets; and

ii) Other finance costs for production of goods or operations or services rendered which cannot be classified as qualifying assets.

(c)

Finance costs directly attributable to the acquisition or construction or production of a qualifying asset shall be included in the cost of the asset.

(d)

Finance costs shall not include imputed costs.

(e)

Subsidy or grant or incentive and any such payment received or receivable with respect to finance costs shall be reduced from cost of the cost object in the financial year when such subsidy or grant or incentive and any such payment is recognised as income.

(f)

Penal interest for delayed payment, fines, penalties, damages and similar levies paid to statutory authorities or other third parties shall not form part of the finance costs. In case the company delays the payment of statutory dues beyond the stipulated date, interest paid for delayed payment shall not be treated as penal interest.

(g)

Interest paid for or received on investment shall not form part of the finance costs for production of goods or operations or services rendered;

(h)

Assignment of finance costs to the cost objects shall be based on either of the following two principles namely:-

(i)

Cause and Effect - Cause is the process or operation or activity and effect is the incurrence of cost and

(ii)

Benefits received - to be apportioned to the various cost objects in proportion to the benefits received by them.

17.

Any other item of Cost.-

Proper records shall be maintained for any other item of cost being indispensable and considered necessary for inclusion in cost records for calculating cost of production of goods or rendering of services, cost of sales, margin in total and per unit of the goods or services under reference.

18.

Capacity Determination.-

(a)

Capacity shall be determined in terms of units of production or services or equivalent machine or man hours.

(b)

Installed capacity is determined based on

i) Manufacturers' technical specifications;

ii) Capacities of individual or interrelated production centres;

iii) Operational constraints or capacity of critical machines; or iv) Number of shifts

(c)

In case manufacturers' technical specifications are not available, the estimates by technical experts on capacity under ideal conditions shall be considered for determination of installed capacity. In case any production facility is added or discarded the installed capacity shall be reassessed from the date of such addition or discard. In case the same is reassessed as per direction of the Government, it shall be in accordance with the principles laid down in the said directives. In case of improvement in the production process, the installed capacity shall be reassessed from the date of such improvement.

(d)

Normal capacity shall be determined vis-a-vis installed capacity after carrying out adjustments for:

i) Holidays, normal shut down days and normal idle time;

ii) Normal time lost in batch change over;

iii) Time lost due to preventive maintenance and normal break downs of equipments;

iv) Loss in efficiency due to ageing of the equipment; or

v) Number of shifts

(e)

Capacity utilisation is the actual production measured as a per cent. of installed capacity.

19.

Work-in-Progress and Finished Stock.-

The method followed for determining the cost of work-in-progress and finished stock of the goods and for services under

delivery or in-process shall be appropriate and shall be indicated in the cost records so as to reveal the cost element that have been taken into account in such computation. All conversion costs incurred in bringing the inventories to their present location and condition shall be taken into account while computing the cost of work-in-progress and finished stock. The method adopted for determining the cost of work-in progress and finished goods shall be followed consistently.

20.

Captive Consumption.-

If the goods or services under reference are used for captive consumption, proper records shall be maintained showing the quantity and cost of each such goods or services transferred to other departments or cost centres or units of the company for self-consumption and sold to outside parties separately.

21.

By-Products and Joint Products.-

a) Proper records shall be maintained for each item of by-product, if any, produced showing the receipt, issues and balances, both in quantity and value. The basis adopted for valuation of by-product for giving credit to the respective process shall be equitable and consistent and should be indicated in cost records. Records showing the expenses incurred on further processing, if any, and actual sales realisation of byproduct shall be maintained. The proper records shall be maintained in respect of credits or recoveries from the disposal of by-products.

b) The cost up to the point of separation of products or services shall be apportioned to joint products or services on reasonable and equitable basis and shall be applied consistently. The basis on which such joint costs are apportioned to different products or services arising from the process shall be indicated in the cost records. Proper records shall be maintained in respect of credits or recoveries from the disposal of joint products or services.

22.

Adjustment of Cost Variances.-

Where the company maintains cost records on any basis other than actual such as standard costing, the records shall indicate the procedure followed by the company in working out the cost of the goods or services under such system. The cost variances shall be shown against separate heads and analysed into material, labour, overheads and further segregated into quantity, price and efficiency variances. The method followed for adjusting the cost variances in determining the actual cost of the goods or services shall be indicated clearly in the cost records. The reasons for the variances shall be duly explained in the cost records and statements.

23.

Reconciliation of Cost and Financial Accounts.-

The cost statements shall be reconciled with the financial statements for the financial year specifically indicating the expenses or incomes not considered in the cost records or statements so as to ensure accuracy and to adjust the profit of the goods or services under reference with the overall profit of the company. The variations, if any, shall be clearly indicated and explained.

24.

Related Party Transactions.-

(a)

"Related party" means related party as defined under clause 76 of section 2 of the Companies Act, 2013 (18 of 2013

).

(b)

"Normal price" means price charged for comparable and similar products in the ordinary course of trade and commerce where the price charged is the sole consideration of sale and such sale is not made to a related party. Normal price can be construed to be a price at which two unrelated and non-desperate parties would agree to a transaction and where such transaction is not clouded due to the proximity of the parties to the transaction and free from influence though the parties may have shared interest.

(c)

The basis adopted to determine normal price shall be classified as under:

i) Comparable uncontrolled price method;

ii) Resale price method;

- iii) Cost plus method;
- iv) Profit split method;
- v) Transactional net margin method; or
- vi) Any other method, to be specified.

(d)

In respect of related party transactions or supplies made or services rendered by a company to a company termed "related party relationship" and vice-a-versa, records shall be maintained showing contracts entered into, agreements or understanding reached in respect of -

(i)

purchase and sale of raw materials, finished goods, rendering of services, process materials and rejected goods including scraps, and other related materials;

(ii)

utilisation of plant facilities and technical know-how;

(iii)

supply of utilities and any other services;

(iv)

administrative, technical, managerial or any other consultancy services;

(v)

purchase and sale of capital goods including plant and machinery; and

(vi)

any other payment related to the production of goods or rendering of services under reference.

(e)

These records shall also indicate the basis followed for arriving at the rates charged or paid for such goods or services so as to enable determination of the reasonableness of such rates in so far as they are in any way related to goods or services under reference.

25.

Expenses or Incentives on Exports.-

(a)

Proper records showing the expenses incurred on the export sales, if any, of the goods or services under reference shall be separately maintained so that the cost of export sales can be determined correctly. Separate cost statements shall be prepared for goods or services exported giving details of export expenses incurred or incentive earned.

(b)

Proper records shall be maintained giving details of export commitments license-wise and the fulfilment of these commitments giving the reasons for non-compliance, if any. In case, duty free imports are made, the cost statements shall reflect this fact. If the duty free imports have been made after actual production, the statement shall reflect this fact also.

26.

Production Records.-

Quantitative records of all finished goods (packed or unpacked) or services rendered showing production, issues for sales and balances of different type of the goods or services under reference, shall be maintained. The quantitative details of production of goods or services rendered shall be maintained separately for self-produced, third party on job work, loan license basis etc.

27.

Sales Records.-

Separate details of sales shall be maintained for domestic sales at control price, domestic sales at market price, export sales under advance license, export sales under other obligations, export sales at market price, and sales to related party or inter unit transfer. In case of services, details of domestic delivery or sales at control price, domestic delivery or sales at market price, export delivery or sales under advance license, export delivery or sales under other obligations, export delivery or sales under market price, and delivery or sales to related party or inter unit transfer. Such details shall be maintained separately for each plant or unit wise or service centre wise for total as well as per unit sales realisation.

28.

Cost Statements.-

(a)

[Cost statements (monthly, quarterly and annually) showing quantitative information in respect of each goods or service under reference shall be prepared showing details of available capacity, actual production, production as per excise records, production as per GST records, capacity utilisation (in house), stock purchased for trading, stock and other adjustments, quantity available for sale, wastage and actual sale, total quantity of outward supplies as per cost records and total outward supplies as per GST records during current financial year and previous year.]

[Substituted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

(b)

Such statements shall also include details in respect of all major items of costs constituting cost of production of goods and services, cost of sales of goods or services and margin in total as well as per unit of the goods and services. The goods or services emerging from a process, which forms raw material or an input material or service for a subsequent process, shall be valued at the cost of production or cost of service up to the previous stage.

(c)

[Cost statements (monthly, quarterly and annually) in respect of reconciliation of indirect taxes showing details of total clearances of goods or services, assessable value/ taxable value, duties or taxes paid, CENVAT or VAT or Service Tax or GST Credit utilised, duties or taxes recovered and interest or penalty paid.]

[Substituted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

(d)

If the company is operating more than one plant, factory or service centre, separate cost statements as specified above shall be prepared in respect of each plant, factory or service centre.

(e)

Any other statement or information considered necessary for suitable presentation of costs and profitability of goods or services produced by the company shall also be prepared.

29.

Statistical Records.-

(a)

The records regarding available machine hours or direct labour hours in different production departments and actually utilised shall be maintained for production of goods or rendering of services under reference and shortfall suitably analysed. Suitable records for computation of idle time of machines or labour shall also be maintained and analysed.

(b)

Proper records shall be maintained to enable company to identify the capital employed, net fixed assets and working capital separately for the production of goods or rendering of services under reference and other goods or services to the extent such elements are separately identifiable. Non-identifiable items shall be allocated on a suitable and reasonable basis to different goods or services. Fresh investments on fixed assets for production of goods or rendering of services under reference that have not contributed to the production of goods or rendering of services during the relevant period or year shall be indicated in cost records. The records shall, in addition, show assets added as replacement and those added for increasing existing capacity.

30.

Records of Physical Verification.-

Records for physical verification may be maintained in respect of all items held in the stock such as raw material, process materials, packing materials, consumables, stores, machinery spares, chemicals, fuels, finished goods and fixed assets etc. Reasons for shortages or surplus arising out of such verifications and the method followed for adjusting the same in the cost of the goods or services shall be indicated in the records;

31.

[Unit of Measurement (UOM).]

[Inserted by Notification No. G.S.R. 1157(E), dated 3.12.2018 (w.e.f. 30.6.2014).]

The Unit of Measurement (UOM) for each Customs Tariff Act Heading, wherever applicable, shall be the same as provided for in the Customs Tariff Act, 1975 (

51 of 1975

) corresponding to that particular Customs Tariff Act Heading.

Form CRA-3

[See rule 6(4) of the Companies (Cost Records and Audit) Rules, 2014]

Form of the Cost Audit Report

I/We,..... having been appointed as Cost Auditor(s) under sub-section (3) of section 148 of the Companies Act, 2013 (18 of 2013

) of(mention name of the company) having its registered office at (mention registered office address of the company) (hereinafter referred to as the company), have audited the Cost Records maintained under section 148 of the said Act, in compliance with the cost auditing standards, in respect of the.....[mention name (s) of Product(s) / service(s)] for the period/year..... (mention the financial year) maintained by the company and report, in addition to my/our observations and suggestions in paragraph 2.

(i)

I/We have/have not obtained all the information and explanations, which to the best of my/our knowledge and belief were necessary for the purpose of this audit.

(ii)

In my/our opinion, proper cost records, as per rule 5 of the Companies (Cost Records and Audit) Rules, 2014 have/have not been maintained by the company in respect of product(s)/service(s) under reference.

(iii)

In my/our opinion, proper returns adequate for the purpose of the Cost Audit have/have not been received from the branches not visited by me/us.

(iv)

In my/our opinion and to the best of my/our information, the said books and records give/do not give the information required by the Companies Act, 2013, in the manner so required.

(v)

In my/our opinion, the company has/does not have adequate system of internal audit of cost records which to my/our opinion is commensurate to its nature and size of its business.

(vi)

In my/our opinion, information, statements in the annexure to this cost audit report gives/does not give a true and fair view of the cost of production of product(s)/rendering of service(s), cost of sales, margin and other information relating to product(s)/service(s) under reference.

(vii)

Detailed unit-wise and product/service-wise cost statements and schedules thereto in respect of the product/service under reference of the company duly audited and certified by me/us are/are not kept in the company.

2. Observations and suggestions, if any, of the Cost Auditor, relevant to the cost audit.

Dated: this ____ day of _____ 20__ at _____ (mention name of place of signing this report)

Signature and Seal of the Cost Auditor (S)

Membership Number (S)

Notes:

(1)

Delete words not applicable.

(2)

If as a result of the examination of the books of account, the Cost Auditor desires to point out any material deficiency or give a qualified report, he or she shall indicate the same against the relevant para (i) to (vi) in the prescribed form of the Cost Audit Report giving details of discrepancies he/she has come across.

(3)

[The Unit of Measurement (UOM) for each Customs Tariff Act Heading, wherever applicable, shall be the same as provided for in the Customs Tariff Act, 1975 (51 of 1975

) corresponding to that particular Customs Tariff Act Heading.]

[Substituted by Notification No. G.S.R. 1157(E), dated 3.12.2018 (w.e.f. 30.6.2014).]

Annexure to the Cost Audit Report

Part-A

1. General Information

1

Corporate identity number or foreign company registration number

2

Name of company

3

Address of registered office or of principal place of business in India of company

4

Address of corporate office of company

5

Email address of company

6

Date of beginning of reporting Financial Year
dd/mm/yyyy

7

Date of end of reporting Financial Year
dd/mm/yyyy

8

Date of beginning of previous financial year
dd/mm/yyyy

9

Date of end of previous financial year
dd/mm/yyyy

10

Level of rounding used in cost statements (in INR)
Absolute/thousands/lacs/crores

11

Whether Indian Accounting Standards are applicable to the company

Yes/No

12

Number of cost auditors for reporting period

13

Date of board of directors meeting in which annexure to cost audit report was approved

14

Whether cost auditors report has been qualified or has any reservations or contains adverse remarks

15

Consolidated qualifications, reservations or adverse remarks of all cost auditors

16

Consolidated observations or suggestions of all cost auditors

17

Whether company has related party transactions for sale or purchase of goods or services

2. General Details of Cost Auditor

1

Whether cost auditor is lead auditor

2

Category of cost auditor

3

Firm's registration number

4

Name of cost auditor/cost auditor?s firm

5

PAN of cost auditor/cost auditor?s firm

6

Address of cost auditor or cost auditor?s firm

7

Email id of cost auditor or cost auditor?s firm

8

Membership number of member signing report

9

Name of member signing report

10

Name(s) of product(s) or service(s) with[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

[11

[Substituted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

SRN number of Form CRA-2]

[12(a)

[Substituted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

12(b)

Number of audit committee meeting(s) during the year for which Cost Auditor was invited

Number of audit committee meeting(s) attended by cost auditor during year]

13

Date of signing cost audit report and annexure by cost auditor

14

Place of signing cost audit report and annexure by cost auditor

3. Cost Accounting Policy

(1)

Briefly describe the cost accounting policy adopted by the Company and its adequacy or otherwise to determine correctly the cost of production/operation, cost of sales, sales realisation and margin of the product(s)/service(s) under reference separately for each product(s)/service(s). The policy should cover, inter alia, the following areas:

- a) Identification of cost centres/cost objects and cost drivers.
- b) Accounting for material cost including packing materials, stores and spares, employee cost, utilities and other relevant cost components.
- c) Accounting, allocation and absorption of overheads
- d) Accounting for Depreciation/Amortisation
- e) Accounting for by-products/joint-products or services, scraps, wastage etc.
- f) Basis for Inventory Valuation
- g) Methodology for valuation of Inter-Unit/Inter Company and Related Party transactions.
- h) Treatment of abnormal and non-recurring costs including classification of other non-cost items.
- i) Other relevant cost accounting policy adopted by the Company

(2)

Briefly specify the changes, if any, made in the cost accounting policy for the product(s)/service(s) under audit during the

current financial year as compared to the previous financial year.

(3)

Observations of the Cost Auditor regarding adequacy or otherwise of the Budgetary Control System, if any, followed by the company.

4. Product/Service Details (for the company as a whole)

Name of Product(s) /Service(s)

UOM

[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

(Wherever applicable)

Whether Covered under Cost Audit Yes / No

Net Operational Revenue (net of taxes, duties

etc.)

Current Year Rs.

Previous Year Rs.

1.

2.

3.

4.

[Total Net Operational Revenue of Manufactured Product or Service]

[Substituted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

[Other Operating Incomes of Company]

[Inserted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

[Total Operating Incomes of Company]

[Inserted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

Other Incomes of Company

Total revenue as per Financial Accounts

(i) [Exceptional and Extra Ordinary income(ii) Other Comprehensive Income, if any]

[Substituted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

Total Revenue including Exceptional, Extra Ordinary and Other

Comprehensive Income, if any

Turnover as per[Excise / Service Tax/ GST]

[Substituted 'Excise/Service Tax' by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

Records

Note:

1) Explain the difference, if any, between Turnover as per

Financial Statements and Turnover as per Excise/Service Tax

Records.

Part-B

For Manufacturing Sector

1. Quantitative Information (for each product with[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

separately)

Name of Product

[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

Particulars

Unit

Current Year

Previous Year

1. Available Capacity

- (a) Installed Capacity
- (b) Capacity enhanced during the year, if any
- (c) Capacity available through leasing arrangements, if any
- (d) Capacity available through loan license / third parties
- (e) Total available Capacity

2. Actual Production

- (a) Self manufactured
- (b) Produced under leasing arrangements
- (c) Produced on loan license / by third parties on job work
- (d) Total Production

3. Production as per[Excise/ GST]

[Substituted 'Excise' by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

Records

4. Capacity Utilisation (in-house)

5. Finished Goods Purchased

- (a) Domestic Purchase of Finished Goods
- (b) Imports of Finished Goods
- (c) Total Finished Goods Purchased

6. Stock and Other Adjustments

- (a) Change in Stock of Finished Goods
- (b) Self / Captive Consumption (incl. samples etc.)
- (c) Other Quantitative Adjustments, if any (wastage etc.)
- (d) Total Adjustments

7. Total Available Quantity for Sale [2(d) + 5(c) + 6(d)]

8. Actual Sales

- (a) Domestic Sales of Product
- (b) Domestic Sales of Traded Product
- (c) Export Sale of Product
- (d) Export Sale of Traded Product
- (e) Total Quantity Sold

2. Abridged Cost Statement (for each product with[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]
separately)

Name of Product

[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

Unit of Measure

Production

Finished Goods Purchased

Finished Stock Adjustment

Captive Consumption

Other Adjustments

Quantity Sold

Current Year

Previous Year

Sl. No.

Particulars

Current Year

Previous Year

Amount (Rs.)

Rate per Unit (Rs.)

Amount (Rs.)

Rate per Unit (Rs.)

1

2

3

4

5

6

7

8

9

10

11

12

13

Materials Consumed (specify details
as per Para 2A)

Process Materials/Chemicals

Utilities (specify details as per
2B)

Direct Employees Cost

Direct Expenses

Consumable Stores and Spares

Repairs and Maintenance

Quality Control Expenses

Research and Development Expenses

Technical know-how Fee / Royalty

Depreciation/Amortisation

Other Production Overheads

Industry Specific Operating Expenses (specify details as per
Para 2C)

14

15

16

17

Total (1 to 13)

Increase/Decrease in

Work-in-Progress

Less: Credits for Recoveries, if
any

Primary Packing Cost

18

19

Cost of Production/Operations (14 +
15 to 17)

Cost of Finished Goods Purchased

20

21

22

23

Total Cost of Production and

Purchases (18 + 19)

Increase/Decrease in Stock of

Finished Goods

Less: Self/Captive Consumption

(incl. Samples, etc.)

Other Adjustments (if any)

24

25

26

27

Cost of Production/Operation of

Product Sold (20 + 21 to 23)Administrative Overheads

Secondary Packing Cost

Selling and Distribution Overheads

28

29

Cost of Sales before[Finance Charges]

[Substituted 'Interest' by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

(24

to 27)

Finance Cost

30

31

Cost of Sales (28 + 29)

Net Sales Realisation (Net of Taxes and Duties)

32

Margin [Profit/(Loss) as per Cost Accounts] (31 - 30)

Notes:

1.

Separate cost statement shall be prepared for each[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]
representing the product.

2.

In case the same product has different unit of measure,
separate cost statement shall be provided for different unit of
measures.

3.

The items of cost shown in the Proforma are indicative and the
same shall be reflected keeping in mind the materiality of the
item of cost in the product. The Proforma may be suitably
modified to meet the requirement of the industry/product.

4.

In case the company follows a pre-determined or standard
costing system, the above cost statement shall reflect figures at
actuals after adjustment of variances, if any.

2A. Details of Materials Consumed

Name of Product

[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

Description of Material

Category

UOM

Current Year

Previous Year

Quantity

Rate per Unit (Rs.)

Amount

Quantity

Rate per Unit (Rs.)

Amount

1.

2.

3.

4.

5.

6.

7.

8.

9.

10.

Category: Indigenous/ Imported/ Self Manufactured

2B. Details of Utilities Consumed

Name of Product

[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

Description of[Utilities Consumed]

[Substituted 'Material' by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

UOM

Current Year

Previous Year

Quantity

Rate per Unit (Rs.)

Amount

Quantity

Rate per Unit (Rs.)

Amount

1.

2.

3.

4.

5.

6.

7.

8.

9.

10.

2C. Details of Industry Specific Operating Expenses

Name of Product

[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

Description of Industry Specific Operating

Expenses

Current Year

Previous Year

Amount

Amount

1.

2.

3.

4.

5.

6.

7.

8.

9.

10.

Part-C

For Service Sector

1. Quantitative Information (for each service separately)

Name of Service

Service Code (if applicable)

Particulars

Unit of Measurement

Current Year

Previous Year

1. Available Capacity

(a) Installed Capacity

(b) Capacity enhanced during the year, if any

(c) Total available Capacity

2. Actual Services Provided

(a) Own Services

(b) Services under contractual arrangements

(c) Outsourced Services

(d) Total Services

3. Total Services provided as per[Service Tax/ GST]

[Substituted 'Service Tax' by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

Records

4. Capacity Utilisation (in-house)

5. [Other Adjustments

[Inserted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

(a) Self or Captive Consumption(b) Other Quantitative Adjustments, if any(c) Total Other Adjustments]

6. [Total Available Services for Sale [2(d)+5(c)]

[Inserted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

]

7. []

[Renumbered '5.' by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

Actual Sales

(a) Services rendered ? Domestic

(b) Services rendered ? Export

(c) Total Services Rendered

2. Abridged Cost Statement (for each service separately)

Name of Service

Service Code (if applicable)

Unit of Measure

Services Provided

Captive Consumption

Other Adjustments

Services rendered

Current Year

Previous Year

Sl. No.

Particulars

Current Year

Previous Year

Amount(Rs.)

Rate per Unit (Rs.)

Amount (Rs.)

Rate per Unit (Rs.)

1

2

3

4

5

6

7

8

9

10

11

Materials Consumed (specify details

as per Para 2A)Utilities (specify details as per Para 2B)

Direct Employees Cost

Direct Expenses

Consumable Stores and Spares

Repairs and Maintenance

Quality Control Expenses

Research and Development Expenses

Technical know-how Fee / Royalty

Depreciation/Amortisation

Other Overheads

12

Industry Specific Operating Expenses (specify details as per
Para 2C)

13

14

Total (1 to 12)

Less: Credits for Recoveries, if any

15

16

Cost of Services provided (13 - 14)

Cost of Outsourced/Contractual Services

17

18

19

Total Services available
 Less: Self/Captive Consumption
 Other Adjustments (if any)
 20
 21
 22
 Cost of Services Sold (17 ?
 18 + 19)
 Administrative Overheads
 Selling and Distribution Overheads
 23
 24
 Cost of Sales before Interest
 (20+21+22)
 Finance Cost
 25
 26
 Cost of Sales (23 + 24)
 Net Sales Realisation (Net of Taxes and Duties)
 27
 Margin [Profit/(Loss) as per Cost Accounts] (26 - 25)

Notes:

1.
Separate cost statement shall be prepared for each service
2.
The items of cost shown in the proforma are indicative and the same should be reflected keeping in mind the materiality of the item of cost in the service.
3.
The proforma may be suitably modified to meet the requirement of the industry/service.
4.
In case the company follows a pre-determined or standard costing system, the above cost statement should reflect figures at actuals after adjustment of variances, if any.

2A. Details of Materials Consumed

Name of Service

Service Code (if applicable)

Description of Material

Category

UOM

Current Year

Previous Year

Quantity

Rate per Unit (Rs.)

Amount

Quantity

Rate per Unit (Rs.)

Amount

1.

2.

- 3.
- 4.
- 5.
- 6.
- 7.
- 8.
- 9.
- 10.

Category: Indigenous/ Imported/ Self Manufactured

2B. Details of Utilities Consumed

Name of Service

Service Code (if applicable)

Description of

Material

UOM

Current Year

Previous Year

Quantity

Rate per Unit (Rs.)

Amount

Quantity

Rate per Unit (Rs.)

Amount

- 1.
- 2.
- 3.
- 4.
- 5.
- 6.
- 7.
- 8.
- 9.
- 10.

2C. Details of Industry Specific Operating Expenses

Name of Service

Service Code (if applicable)

Description of Industry Specific Operating Expenses

Current Year

Previous Year

Amount

Amount

- 1.
- 2.
- 3.
- 4.
- 5.
- 6.
- 7.
- 8.
- 9.

10.

Part-D

1. Product and Service Profitability Statement (for audited products/services)

S. No.

Particulars

Current Year

Previous Year

Sales Rs.

Cost of Sales Rs.

Margin Rs.

Sales Rs.

Cost of Sales Rs.

Margin Rs.

Product 1

Product 2

Product 3

?? etc.

Service 1

Service 2

Service 3

?? etc.

Total

2. Profit Reconciliation (for the company as a whole)

S.No.

Particulars

Current Year Rs.

Previous Year Rs.

1

Profit or Loss as per Cost[Accounts]

[Substituted 'Accounting Records' by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

(a) For the audited product(s)/service(s)

(b) For the un-audited product(s)/service(s)

2.

Add: Incomes not considered in cost accounts (specify details)

a)

b)

c)

d)

e)

f)

g)

h)

i)

j)

3.

Less: Expenses not considered in cost accounts (specify details)

a)

b)

c)

d)

- e)
- f)
- g)
- h)
- i)
- j)

4.

Difference in Valuation of stock between financial accounts
and cost accounts

5.

Other adjustments, if any

6.

Profit or Loss as per Financial Accounts (excluding Other
Comprehensive Income for companies following Ind AS)

Note: Show abnormal wastages, expenses on strikes/lock-outs
and any other items of expenses or incomes of abnormal nature
etc. not considered in cost separately

3. Value Addition And Distribution Of Earnings (for the company as a whole)

S. No.

Particulars

Current Year Rs.

Previous Year Rs.

Value Addition:

[1

[Substituted 'Gross Sales (excluding sales returns)' by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

Revenue from Operations]

[2

[Substituted 'Less: Excise duty, etc' by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]
Less: Taxes and other duties].

[3

[Substituted 'Net Sales' by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

Net Revenue from Operations]

4

Add: Export Incentives

[5

[Substituted 'Add/Less: Adjustment in Finished Stocks' by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

Add/ Less: Adjustment in Stocks]

6

Less: Cost of bought out inputs

(a) Cost of Materials Consumed

(b) Process Materials / Chemicals

(c) Consumption of Stores and Spares

(d) Utilities (e.g. power and fuel)

(e) Others, if any

Total Cost of bought out inputs

7

Value Added

8

Add: Income from any other sources

[9

[Substituted 'Add: Exceptional, Extra Ordinary and Other Comprehensive Income, if any' by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

Add: (i) Exceptional and Extra Ordinary income(ii) Other Comprehensive Income, if any]

10

Earnings available for distribution

Distribution of Earnings to:

1

Employees as salaries and wages, retirement benefits, etc.

2

Shareholders as dividend

3

Company as retained funds

4

Government as taxes (specify)

5

Exceptional and Extra Ordinary Expenses, if any

6

Others, if any (specify)

7

Total distribution of earnings

4. Financial Position and Ratio Analysis (for the company as a whole)

S.No.

Particulars

Units

Current Year

Previous Year

A.

1

2

3

4

5

6

7

Financial Position

Share Capital (see Note 1)

Reserves and Surplus (see Note 1)

Long Term Borrowings (see Note 1)

(a) Gross Fixed Assets

(b) Net Fixed Assets (see Note 1)

(a) Current Assets

(b) Less: Current Liabilities

(c) Net Current Assets

Capital Employed (see Note 2)

Net Worth (see Note 3)

B.

1

2

3

Financial Performance

Value Added

Net Revenue from Operations of
Company

Profit before Tax (PBT)

C.

1

2

3

4

Profitability Ratios

PBT to Capital Employed (B3/A6)

PBT to Net Worth (B3/A7)

PBT to Value Added (B3/B1)

PBT to Net revenue from Operations (B3/B2)

%

%

%

%

D.

1

2

3

Other Financial Ratios

Debt-Equity Ratio

Current Assets to Current

Liabilities

Value Added to Net Revenue from Operations

%

E.

1

2

[***]

[Omitted '3. Finished Goods Stock to Cost of Sales, Months' by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

Working Capital Ratios

Raw Materials Stock to Consumption

Stores and Spares to Consumption

Months

Months

Notes:

1) In this table, in case of
companies to which Indian Accounting Standards apply:

a) Share Capital shall mean ?Equity
Share Capital?

b) Reserves and Surplus shall mean
?Other Equity.?

c) Long Term Borrowings shall mean
?Borrowing under Non-Current Liabilities?

d) Net Fixed Assets shall mean the
sum total of ?Property, Plant and Equipment?,
?Capital Work in Progress?, ?Goodwill?,

?Other intangible assets?, ?Intangible assets under development? and ?Biological assets other than bearer plants?.

2) Capital Employed means average of Net fixed assets (excluding effect of revaluation) plus Non-current investments and net current assets existing at the beginning and close of the financial year.

3) Net Worth is as defined under clause (57) of section 2 of the Companies Act, 2013.

5. Related Party Transactions (for the company as a whole)
S. No.

[Name and CIN of the Related Party]

[Substituted 'Name and Address of the Related Party' by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

Name of the Product/Service

Nature of Transaction (Sale, Purchase etc.)

Quantity

Transfer Price

Amount

Normal Price

Basis adopted to determine the Normal Price

1

2

3

4

5

6

-

7

8

9

10

NOTES:

1) Details should be furnished for each Related Party and Product /Service separately.

2) Details of Related Party transactions without indicating the Normal Price and the basis thereof shall be considered as incomplete information.

6. [Reconciliation of Indirect Taxes (for the Company as a whole)

[Substituted by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

Particulars

Taxable Value/ Assessable Value

Excise Duty/ VAT, CST, Cess etc./ Other State

Taxes, if any

Goods & Services Tax

CGST

SGST / UTGST

IGST

Cess and Others

Rs.

Rs.

Rs.
 Rs.
 Rs.
 Rs.
 Sl. No.
 Duties/ Taxes Payable
 Excise Duty
 1
 Domestic
 2
 Export
 3
 Stock Transfers (Net)
 4
 Others, if any
 5
 Total Excise Duty (1 to 4)
 6
 VAT, CST, Cess etc.
 7
 Other State Taxes, if any
 Goods & Services Tax
 8
 Outward Taxable Supplies (other than zero rated,
 Nil Rated and Exempted)
 9
 Outward Taxable Supplies (zero rated)
 10
 Inward Supplies (liable to Reverse Charge)
 11
 Other Outward Supplies (Nil Rated, Exempted)
 12
 Non-GST Outward Supplies
 13
 Total (8 to 12)
 14
 Total Duties / Taxes Payable (5 + 6 + 7 + 13)
 Duties/ Taxes paid [by Utilisation of Input
 Tax Credit and Payment through Cash Ledger, as the case may be]
 Input Tax Credit Utilised
 15
 CGST/ CENVAT
 16
 SGST / UTGST/ VAT
 17
 IGST
 18
 Cess
 19
 Transitional Credit
 20

Others, if any, specify

21

Total Input Tax Credit Utilised (15 to 20)

22

Payment through Cash Ledger

23

Total Duties/Taxes Paid (21 + 22)

Difference between Taxes Paid and Payable (14

- 23)

24

Interest/Penalty/Fines Paid]

Signature

Signature

Signature

Name

Name

Name

Cost Auditor

Company Secretary/Director

Director

Membership Number

Membership/Din Number

Din Number

Seal

Stamp

Stamp

Date

Date

Date

Notes: (1) Wherever, there is any significant variation in the current year's figure over the previous year's figure for any item shown under each para of the Annexure to the Cost Audit Report, reasons thereof shall be given by the Cost Auditor.

(2)

Wherever, duration of the current year or the previous year is not twelve months, same shall be clearly indicated in the report.

[Form-CRA-1]

[Substituted by Notification No. G.S.R. 1(E), dated 31.12.2014 (w.e.f. 30.6.2014).]

[Pursuant to Rule 5(1) of the Companies (Cost Records and Audit) Rules, 2014]

Form in which Cost Records shall be maintained

Particulars Relating to the items of costs to be included in the Books of Accounts

1. Material Costs.- (a) Proper records shall be maintained showing separately all receipts, issues and balances both in quantities and cost of each item of raw material required for the production of goods or rendering of services under reference.

(b) The material receipt shall be valued at purchase price including duties and taxes, freight inwards, insurance, and other expenditure directly attributable to procurement (net of trade discounts, rebates, taxes and duties refundable or to be credited by the taxing authorities) that can be quantified with reasonable accuracy at the time of acquisition.

(c) Finance costs incurred in connection with the acquisition of materials shall not form part of material cost.

(d) Self-manufactured materials or captive consumption shall be valued including direct material cost, direct employee cost, direct expenses, factory overheads, share of administrative overheads relating to production but excluding share of other administrative overheads, finance cost and marketing overheads.

(e) Spares which are specific to an item of equipment shall not be taken to inventory, but shall be capitalized with the

cost of the specific equipment. Cost of capital spares or insurance spares, whether procured with the equipment or subsequently, shall be amortised over a period, not exceeding the useful life of the equipment.

(f) Normal loss or spoilage of material prior to reaching the factory or at places where the services are provided shall be absorbed in the cost of balance materials net of amounts recoverable from suppliers, insurers, carriers or recoveries from disposal.

(g) Losses due to shrinkage or evaporation and gain due to elongation or absorption of moisture etc., before the material is received shall be absorbed in material cost to the extent they are normal, with corresponding adjustment in the quantity.

(h) The forex component of imported material cost shall be converted at the rate on the date of the transaction. Any subsequent change in the exchange rate till payment or otherwise shall not form part of the material cost.

(i) Any demurrage or detention charges, or penalty levied by transport or other authorities shall not form part of the cost of materials.

(j) Subsidy or Grant or Incentive and any such payment received or receivable with respect to any material shall be reduced from cost for ascertainment of the cost of the cost object to which such amounts are related.

(k) Issues shall be valued using appropriate assumptions on cost flow, e.g. First-in-First-out, Last-in-First-out, Weighted Average Rate. The method of valuation shall be followed on a consistent basis.

(l) Where materials are accounted at standard cost, the price variances related to materials shall be treated as part of material cost.

(m) Any abnormal cost shall be excluded from the material cost.

(n) Wherever, material costs include transportation costs, determination of costs of transportation shall be governed by Para No. 9 on Determination of Cost of Transportation.

(o) Self-manufactured components and sub-assemblies or captive consumption shall be valued including direct material cost, direct employee cost, direct expenses, factory overheads, share of administrative overheads relating to production but excluding share of other administrative overheads, finance cost and marketing overheads.

(p) The material cost of normal scrap or defectives which are rejects shall be included in the material cost of goods manufactured. The material cost of actual scrap or defectives, not exceeding the normal shall be adjusted in the material cost of good production. Material Cost of abnormal scrap or defectives shall not be included in material cost but treated as loss after giving credit to the realisable value of such scrap or defectives.

(q) Material costs shall be directly traced to a Cost object to the extent it is economically feasible or shall be assigned to the cost object on the basis of material quantity consumed or similar identifiable measure and valued as per above principles.

(r) Where the material costs are not directly traceable to the cost object, the same shall be assigned on a suitable basis like technical estimates.

(s) Where a material is processed or part manufactured by a third party according to specifications provided by the buyer, the processing or manufacturing charges payable to the third party shall be treated as part of the material cost.

(t) Wherever part of the manufacturing operations or activity is subcontracted, the subcontract charges related to materials shall be treated as direct expenses and assigned directly to the cost object.

(u) The cost of indirect materials shall be assigned to the various Cost objects based on a suitable basis such as actual usage or technical norms or a similar identifiable measure.

(v) The cost of materials like catalysts, dies, tools, moulds, patterns etc., which are relatable to production over a period of time shall be amortized over the production units benefited by such cost.

(w) The cost of indirect material with life exceeding one year shall be included in cost over the useful life of the material.

2. Employee Cost.- (a) Proper records shall be maintained in respect of employee costs in such a manner as to enable the company to book these expenses cost centre wise or department wise with reference to goods or services under reference and to furnish necessary particulars. Where the employees work in such a manner that it is not possible to identify them with any specific cost centre or service centre or department, the employees cost shall be apportioned to the cost centre or service centres or departments on equitable and reasonable basis and applied consistently.

(b) Employee cost shall be ascertained taking into account the gross pay including all allowances payable along with the cost to the employer of all the benefits.

(c) Bonus whether payable as a statutory minimum or on a sharing of surplus shall be treated as part of employee cost. Exgratia payable in lieu of or in addition to bonus shall also be treated as part of the employee cost.

- (d) Remuneration payable to Managerial Personnel including Executive Directors on the Board and other officers of a corporate body under a statute shall be considered as part of the employee cost of the year under reference whether the whole or part of the remuneration is computed as a percentage of profits. Remuneration paid to non-executive directors shall not form part of employee cost but shall form part of administrative overheads.
- (e) Separation costs related to voluntary retirement, retrenchment, termination and other related matters shall be amortised over the period benefitting from such costs.
- (f) Employee cost shall not include imputed costs.
- (g) Cost of Idle time is ascertained by the idle hours multiplied by the hourly rate applicable to the idle employee or a group of employees.
- (h) Where employee cost is accounted at standard cost, variances due to normal reasons related to employee cost shall be treated as part of employee cost. Variances due to abnormal reasons shall be treated as part of abnormal cost.
- (i) Any subsidy, grant, incentive or any such payment received or receivable with respect to any employee cost shall be reduced for ascertainment of cost of the cost object to which such amounts are related.
- (j) Any abnormal cost where it is material and quantifiable shall not form part of the employee cost.
- (k) Penalties, damages paid to statutory authorities or other third parties shall not form part of the employee cost.
- (l) The cost of free housing, free conveyance and any other similar benefits provided to an employee shall be determined at the total cost of all resources consumed in providing such benefits.
- (m) Any recovery from the employee towards any benefit provided, namely, housing shall be reduced from the employee cost.
- (n) Any change in the cost accounting principles applied for the determination of the employee cost shall be made only if it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an enterprise.
- (o) Where the employee services are traceable to a cost object, such employees' cost shall be assigned to the cost object on the basis such as time consumed or number of employees engaged or other related basis or similar identifiable measure.
- (p) While determining whether a particular employee cost is chargeable to a separate cost object, the principle of materiality shall be adhered to.
- (q) Where the employee costs are not directly traceable to the cost object, the same shall be assigned on suitable basis like estimates of time based on time study.
- (r) The amortised separation costs related to voluntary retirement, retrenchment, and termination or other related matters for the period shall be treated as indirect cost and assigned to the cost objects in an appropriate manner provided that unamortised amount related to discontinue operations, shall not be treated as employee cost.
- (s) Recruitment costs, training cost and other such costs shall be treated as overheads and dealt with accordingly.
- (t) Overtime premium shall be assigned directly to the cost object or treated as overheads depending on the economic feasibility and the specific circumstance requiring such overtime.
- (u) Idle time cost shall be assigned direct to the cost object or treated as overheads depending on the economic feasibility and the specific circumstances causing such idle time.
3. Utilities.- (a) Proper records shall be maintained showing the quantity and cost of each major utility such as power, water, steam, effluent treatment and other related utilities produced and consumed by the different cost centres in such detail as to have particulars for each utility separately.
- (b) Each type of utility shall be treated as a distinct cost object.
- (c) Cost of utilities purchased shall be measured at cost of purchase including duties and taxes, transportation cost, insurance and other expenditure directly attributable to procurement (net of trade discounts, rebates, taxes and duties refundable or to be credited) that can be quantified with reasonable accuracy at the time of acquisition.
- (d) Cost of self-generated utilities for own consumption shall comprise direct material cost, direct employee cost, direct expenses and factory overheads.
- (e) In case of utilities generated for the purpose of inter unit transfers, the distribution cost incurred for such transfers shall be added to the cost of utilities determined as above.
- (f) Cost of utilities generated for the intercompany transfers shall comprise direct material cost, direct employee cost, direct expenses, factory overheads, distribution cost and share of administrative overheads.
- (g) Cost of utilities generated for the sale to outside parties shall comprise direct material cost, direct employee cost,

direct expenses, factory overheads, distribution cost, share of administrative overheads and marketing overheads. The sale value of such utilities shall also include the margin.

(h) Finance costs incurred in connection with the utilities shall not form part of cost of utilities.

(i) The cost of utilities shall include the cost of distribution of such utilities. The cost of distribution shall consist of the cost of delivery of utilities up to the point of consumption.

(j) Cost of utilities shall not include imputed costs.

(k) Where cost of utilities is accounted at standard cost, the price variances related to utilities shall be treated as part of cost of utilities and the portion of usage variances due to normal reasons shall be treated as part of cost of utilities. Usage variances due to abnormal reasons shall be treated as part of abnormal cost.

(l) Any subsidy or grant or incentive or any such payment received or receivable with respect to any cost of utilities shall be reduced for ascertainment of the cost to which such amounts are related.

(m) The cost of production and distribution of utilities shall be determined based on the normal capacity or actual capacity utilization whichever is higher and unabsorbed cost, if any, shall be treated as abnormal cost. Cost of a Stand-by Utility shall include the committed costs of maintaining such a utility.

(n) Any abnormal cost where it is material and quantifiable shall not form part of the cost of utilities.

(o) Penalties, damages paid to statutory authorities or other third parties shall not form part of the cost of utilities.

(p) Credits or recoveries relating to the utilities including cost of utilities provided to outside parties, material and quantifiable, shall be deducted from the total cost of utility to arrive at the net cost of utility.

(q) Any change in the cost accounting principles applied for the measurement of the cost of utilities shall be made only if, it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an organization.

(r) While assigning cost of utilities, traceability to a cost object in an economically feasible manner shall be the guiding principle.

(s) Where the cost of utilities is not directly traceable to cost object, it shall be assigned on the most appropriate basis.

(t) The most appropriate basis of distribution of cost of a utility to the departments consuming services is to be derived from usage parameters.

4. Direct Expenses.- (a) Proper records shall be maintained in respect of direct expenses in such a manner as to enable the company to book these expenses cost centre wise or cost object or department wise with reference to goods or services under reference and to furnish necessary particulars.

(b) Direct expenses incurred for the use of bought out resources shall be determined at invoice or agreed price including duties and taxes, and other expenditure directly attributable thereto net of trade discounts, rebates, taxes and duties refundable or to be credited.

(c) Other direct expenses shall be determined on the basis of amount incurred in connection therewith.

(d) Direct expenses paid or incurred in lump-sum or which are in the nature of 'one-time' payment, shall be amortised on the basis of the estimated output or benefit to be derived from such direct expenses.

(e) If an item of direct expenses does not meet the test of materiality, it can be treated as part of overheads.

(f) Finance costs incurred in connection with the self-generated or procured resources shall not form part of direct expenses. Direct expenses shall not include imputed costs.

(g) Where direct expenses are accounted at standard cost, variances due to normal reasons shall be treated as part of the direct expenses. Variances due to abnormal reasons shall not form part of the direct expenses.

(h) Any subsidy or grant or incentive or any such payment received or receivable with respect to any direct expenses shall be reduced for ascertainment of the cost of the cost object to which such amounts are related.

(i) Any abnormal portion of the direct expenses where it is material and quantifiable shall not form part of the direct expenses.

(j) Penalties, damages paid to statutory authorities or other third parties shall not form part of the direct expenses.

(k) Credits or recoveries relating to the direct expenses, material and quantifiable, shall be deducted to arrive at the net direct expenses.

(l) Any change in the cost accounting principles applied for the measurement of the direct expenses shall be made only if, it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an organization.

(m) Direct expenses that are directly traceable to the cost object shall be assigned to that cost object.

5. Repairs and Maintenance.- (a) Proper records showing the expenditure incurred by the workshop, tool room and on repairs and maintenance in the various cost centres or departments shall be maintained under different heads.
- (b) Repairs and maintenance cost shall be the aggregate of direct and indirect cost relating to repairs and maintenance activity. Direct cost shall include the cost of materials, consumable stores, spares, manpower, equipment usage, utilities and other identifiable resources consumed in such activity. Indirect cost shall include the cost of resources common to various repairs and maintenance activities such as manpower, equipment usage and other costs allocable to such activities.
- (c) Cost of in-house repairs and maintenance activity shall include cost of materials, consumable stores, spares, manpower, equipment usage, utilities, and other resources used in such activity.
- (d) Cost of repairs and maintenance activity carried out by outside contractors inside the entity shall include charges payable to the contractor and cost of materials, consumable stores, spares, manpower, equipment usage, utilities, and other costs incurred by the entity for such jobs.
- (e) Cost of repairs and maintenance jobs carried out by contractor at its premises shall be determined at invoice or agreed price including duties and taxes, and other expenditure directly attributable thereto net of discounts (other than cash discount), taxes and duties refundable or to be credited. This cost shall also include the cost of other resources provided to the contractors.
- (f) Cost of repairs and maintenance jobs carried out by outside contractors shall include charges made by the contractor and cost of own materials, consumable stores, spares, manpower, equipment usage, utilities and other costs used in such jobs.
- (g) Each type of repairs and maintenance shall be treated as a distinct activity, if material and identifiable.
- (h) Cost of repairs and maintenance activity shall be measured for each major asset category separately.
- (i) Cost of spares replaced which do not enhance the future economic benefits from the existing asset beyond its previously assessed standard of performance shall be included under repairs and maintenance cost.
- (j) High value spare, when replaced by a new spare and is reconditioned, which is expected to result in future economic benefits, the same shall be taken into stock. Such a spare shall be valued at an amount that measures its service potential in relation to a new spare which amount shall not exceed the cost of reconditioning the spare. The difference between the total of the cost of the new spare and the reconditioning cost and the value of the reconditioned spare shall be treated as repairs and maintenance cost.
- (k) The cost of major overhaul shall be amortised on a rational basis.
- (l) Finance costs incurred in connection with the repairs and maintenance activities shall not form part of Repairs and maintenance costs.
- (m) Repairs and maintenance costs shall not include imputed costs.
- (n) Price variances related to repairs and maintenance, where standard costs are in use, shall be treated as part of repairs and maintenance cost. The portion of usage variances attributable to normal reasons shall be treated as part of repairs and maintenance cost. Usage variances attributable to abnormal reasons shall be excluded from repairs and maintenance cost.
- (o) Subsidy or Grant or Incentive or amount of similar nature received or receivable with respect to repairs and maintenance activity, if any, shall be reduced for ascertainment of the cost of the cost object to which such amounts are related.
- (p) Any repairs and maintenance cost resulting from some abnormal circumstances, namely, major fire, explosion, flood and similar events, if material and quantifiable, shall not form part of the repairs and maintenance cost.
- (q) Fines, penalties, damages and similar levies paid to statutory authorities or other third parties shall not form part of the repairs and maintenance cost.
- (r) Credits or recoveries relating to the repairs and maintenance activity, material and quantifiable, shall be deducted to arrive at the net repairs and maintenance cost.
- (s) Any change in the cost accounting principles applied for the measurement of the repairs and maintenance cost shall be made only if, it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an organization.
- (t) Repairs and maintenance costs shall be traced to a cost object to the extent economically feasible.
- (u) Where the repairs and maintenance cost is not directly traceable to cost object, it shall be assigned based on either of the following the principles of (1) Cause and Effect - Cause is the process or operation or activity and effect is the

incurrence of cost and (2) Benefits received - overheads are to be apportioned to the various cost objects in proportion to the benefits received by them.

(v) If the repairs and maintenance cost (including the share of the cost of reciprocal exchange of services) is shared by several cost objects, the related cost shall be measured as an aggregate and distributed among the cost objects.

6. Fixed Assets and depreciation.- (a) Proper and adequate records shall be maintained for assets used for production of goods or rendering of services under reference in respect of which depreciation has to be provided for. These records shall, inter-alia, indicate grouping of assets under each good or service, the cost of acquisition of each item of asset including installation charges, date of acquisition and rate of depreciation.

(b) Depreciation and amortisation shall be measured based on the depreciable amount and the useful life. The residual value of an intangible asset shall be assumed to be zero unless:

(i) there is a commitment by a third party to purchase the asset at the end of its useful life; or

(ii) there is an active market for the asset and:

a. residual value can be determined by reference to that market; and

b. it is probable that such a market will exist at the end of the asset's useful life.

c. The residual value of a fixed asset shall be considered as zero if the entity is unable to estimate the same with reasonable accuracy.

(c) The minimum amount of depreciation to be provided shall not be less than the amount calculated as per principles and methods as prescribed by any law or regulations applicable to the entity and followed by it.

(d) In case of regulated industry the amount of depreciation shall be the same as prescribed by the concerned regulator.

(e) While estimating the useful life of a depreciable asset, consideration shall be given to the following factors:

(i) Expected physical wear and tear;

(ii) Obsolescence; and

(iii) Legal or other limits on the use of the asset.

(f) The useful life of an intangible asset that arises from contractual or other legal rights shall not exceed the period of the contractual or other legal rights, but may be shorter depending on the period over which the entity expects to use the asset.

(g) If the contractual or other legal rights are conveyed for a limited term that can be renewed, the useful life of the intangible asset shall include the renewal period(s) only if there is evidence to support renewal by the entity without significant cost. The useful life of a re-acquired right recognised as an intangible asset in a business combination is the remaining contractual period of the contract in which the right was granted and shall not include renewal periods.

(h) The useful life of an intangible asset, in any situation, shall not exceed 10 years from the date it is available for use.

(i) Depreciation shall be considered from the time when a depreciable asset is first put into use. An asset which is used only when the need arises but is always held ready for use. Example: fire extinguisher, stand by generator, safety equipment shall be considered to be an asset in use. Depreciable assets shall be considered to be put into use when commercial production of goods and services commences.

(j) Depreciation on an asset which is temporarily retired from production of goods and services shall be considered as abnormal cost for the period when the asset is not in use.

(k) Depreciation of any addition or extension to an existing depreciable asset which becomes an integral part of that asset shall be based on the remaining useful life of that asset.

(l) Depreciation of any addition or extension to an existing depreciable asset which retains a separate identity and is capable of being used after the expiry of the useful life of that asset shall be based on the estimated useful life of that addition or extension.

(m) The impact of higher depreciation due to revaluation of assets shall not be assigned to cost object.

(n) Impairment loss on assets shall be excluded from cost of production.

(o) The method of depreciation used shall reflect the pattern in which the asset's future economic benefits are expected to be consumed by the entity.

(p) An entity can use any of the methods of depreciation to assign depreciable amount of an asset on a systematic basis over its useful life, namely, Straight-line method; Diminishing balance method; and Units of production method, etc.

(q) The method of amortisation of intangible asset shall reflect the pattern in which the economic benefits accrue to entity.

(r) The methods and rates of depreciation applied shall be reviewed at least annually and, if there has been a change in

the expected pattern of consumption or loss of future economic benefits, the method applied shall be changed to reflect the changed pattern.

(s) Spares purchased specifically for a particular asset, or class of assets, and which would become redundant if that asset or class of asset was retired or use of that asset was discontinued, shall form part of that asset. The depreciable amount of such spares shall be allocated over the useful life of the asset.

(t) Cost of small assets shall be written off in the period in which they were purchased as per the accounting policy of the entity.

(u) Depreciation of an asset shall not be considered in case cumulative depreciation exceeds the original cost of the asset, net of residual value.

(v) Where depreciation for an addition of an asset is measured on the basis of the number of days for which the asset was used for the preparation and presentation of financial statements, depreciation of the asset for assigning to cost of object shall be measured in relation to the period, the asset actually utilized.

(w) Depreciation shall be traced to the cost object to the extent economically feasible.

(x) Where the depreciation is not directly traceable to cost object, it shall be assigned based on either of the following two principles; namely:-

(i) Cause and Effect - Cause is the process or operation or activity and effect is the incurrence of cost and

(ii) Benefits received - overheads are to be apportioned to the various cost objects in proportion to the benefits received by them.

7. Overheads.- (a) Proper records shall be maintained for various items of indirect expenses comprising overheads pertaining to goods or services under reference. These expenses shall be analysed, classified and grouped according to functions.

(b) Overheads representing procurement of resources shall be determined at invoice or agreed price including duties and taxes, and other expenditure directly attributable thereto net of discounts (other than cash discounts), taxes and duties refundable or to be credited.

(c) Overheads other than those referred to above shall be determined on the basis of cost incurred in connection therewith.

(d) Any abnormal cost where it is material and quantifiable shall not form part of the overheads.

(e) Finance costs incurred in connection with procured or self-generated resources shall not form part of overheads.

(f) Overheads shall not include imputed cost.

(g) Overhead variances attributable to normal reasons shall be treated as part of overheads. Overhead variances attributable to abnormal reasons shall be excluded from overheads.

(h) Any subsidy or grant or incentive or amount of similar nature received or receivable with respect to overheads shall be reduced for ascertainment of the cost of the cost object to which such amounts are related.

(i) Fines, penalties, damages and similar levies paid to statutory authorities or other third parties shall not form part of the overheads.

(j) Credits or recoveries relating to the overheads, material and quantifiable, shall be deducted from the total overhead to arrive at the net overheads. Where the recovery exceeds the total overheads, the balance recovery shall be treated as other income.

(k) Any change in the cost accounting principles applied for the measurement of the overheads shall be made only if, it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an entity.

(l) While assigning overheads, traceability to a cost object in an economically feasible manner shall be the guiding principle. The cost which can be traced directly to a cost object shall be directly assigned.

(m) Overheads shall be classified according to functions, viz., works, administration, selling and distribution, head office, corporate etc.

(n) Assignment of overheads to the cost objects shall be based on either of the following two principles; (1) Cause and Effect - Cause is the process or operation or activity and effect is the incurrence of cost and (2) Benefits received - overheads are to be apportioned to the various cost objects in proportion to the benefits received by them.

(o) The variable production overheads shall be absorbed to products or services based on actual capacity utilisation.

(p) The fixed production overheads shall be absorbed based on the normal capacity.

(q) Assignment of Administration Overheads shall be in accordance with para No. 8.

- (r) Marketing overheads that can be identified to a product or service shall be assigned to that product or service.
- (s) Marketing overheads that cannot be identified to a product or service shall be assigned to the products or services on the most appropriate basis.
8. Administrative Overheads.- (a) Administrative overheads shall be the aggregate of cost of resources consumed in activities relating to general management and administration of an organization.
- (b) In case of leased assets, if the lease is an operating lease, the entire rentals shall be included in the administrative overheads. If the lease is a financial lease, the finance cost portion shall be segregated and treated as part of finance costs.
- (c) The cost of software (developed in house, purchased, licensed or customised), including up-gradation cost shall be amortised over its estimated useful life.
- (d) The cost of administrative services procured from outside shall be determined at invoice or agreed price including duties and taxes, and other expenditure directly attributable thereto net of discounts (other than cash discount), taxes and duties refundable or to be credited.
- (e) Any subsidy or grant or incentive or any amount of similar nature received or receivable with respect to any Administrative overheads shall be reduced for ascertainment of the cost of the cost object to which such amounts are related.
- (f) Administrative overheads shall not include any abnormal administrative cost.
- (g) Fines, penalties, damages and similar levies paid to statutory authorities or other third parties shall not form part of the administrative overheads.
- (h) Credits or recoveries relating to the administrative overheads including those rendered without any consideration, material and quantifiable, shall be deducted to arrive at the net administrative overheads.
- (i) Any change in the cost accounting principles applied for the measurement of the administrative overheads shall be made only if it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an organization.
- (j) While assigning administrative overheads, traceability to a cost object in an economically feasible manner shall be the guiding principle.
- (k) Assignment of administrative overheads to the cost objects shall be based on either of the following two principles; namely:-
- (i) Cause and Effect - Cause is the process or operation or activity and effect is the incurrence of cost.
- (ii) Benefits received - overheads are to be apportioned to the various cost objects in proportion to the benefits received by them.
9. Transportation Cost.- (a) Proper records shall be maintained for recording the actual cost of transportation showing each element of cost such as freight, cartage, transit insurance and others after adjustment for recovery of transportation cost. Abnormal costs relating to transportation, if any, are to be identified and recorded for exclusion of computation of average transportation cost.
- (b) In case of a manufacturer having his own transport fleet, proper records shall be maintained to determine the actual operating cost of vehicles showing details of various elements of cost, such as salaries and wages of driver, cleaners and others, cost of fuel, lubricant grease, amortized cost of tyres and battery, repairs and maintenance, depreciation of the vehicles, distance covered and trips made, goods hauled and transported to the depot.
- (c) In case of hired transport charges incurred for despatch of goods, complete details shall be recorded as to date of despatch, type of transport used, description of the goods, destination of buyer, name of consignee, challan number, quantity of goods in terms of weight or volume, distance involved, amount paid and other related details.
- (d) Records shall be maintained separately for inward and outward transportation cost specifying the details particulars of goods despatched, name of supplier or recipient, amount of freight etc.
- (e) Separate records shall be maintained for identification of transportation cost towards inward movement of material (procurement) and transportation cost of outward movement of goods removed or sold for both home consumption and export.
- (f) Records for transportation cost from factory to depot and thereafter shall be maintained separately.
- (g) Records for transportation cost for carrying any material or product to job-workers place and back shall be maintained separately so as include the same in the transaction value of the product.
- (h) Records for transportation cost for goods involved exclusively for trading activities shall be maintained separately

and the same shall not be included for claiming any deduction for calculating assessable value excisable goods cleared for home consumption.

(i) Records of transportation cost directly allocable to a particular category of products shall be maintained separately so that allocation can be made.

(j) For common transportation cost, both for own fleet or hired ones, proper records for basis of apportionment shall be maintained.

(k) Records for transportation cost for exempted goods, excisable goods cleared for export shall be maintained separately.

(l) Separate records of cost for mode of transportation other than road like ship or air are to be maintained, which shall be included in total cost of transportation.

(m) Inward transportation costs shall form the part of the cost of procurement of materials which shall be identified for proper allocation or apportionment to the materials or products.

(n) Outward transportation cost shall form the part of the cost of sale and shall be allocated or apportioned to the materials and goods on a suitable basis.

(o) The following basis shall be used, in order of priority, for apportionment of outward transportation cost depending upon the nature of products, unit of measurement followed and type of transport used, namely:-

(i) Weight;

(ii) Volume of goods;

(iii) Tonne-Km;

(iv) Unit or Equivalent unit;

(v) Value of goods;

(vi) Percentage of usage of space.

(p) Once a basis of apportionment is adopted, the same shall be followed consistently.

(q) For determining the transportation cost per unit, distance shall be factored in to arrive at weighted average cost.

(r) Abnormal and non recurring cost shall not be a part of transportation cost.

10. Royalty and Technical Know-how.- (a) Adequate records shall be maintained showing royalty or technical know-how fee including other recurring or non-recurring payments of similar nature, if any, made for the goods or services under reference to collaborators or technology suppliers in terms of agreements entered into with them.

(b) Royalty and technical know-how Fee paid or incurred in lump-sum or which are in the nature of 'one-time' payment, shall be amortized on the basis of the estimated output or benefit to be derived from the related asset. Amortisation of the amount of royalty or technical know-how fee paid for which the benefit is ensued in the current or future periods shall be determined based on the production or service volumes estimated for the period over which the asset is expected to benefit the entity.

(c) Amount of the royalty and technical know-how fee shall not include finance costs and imputed costs.

(d) Any subsidy or grant or incentive or any such payment received or receivable with respect to amount of royalty and technical know-how fee shall be reduced to measure the amount of royalty and technical know-how fee.

(e) Penalties, damages paid to statutory authorities or other third parties shall not form part of the amount of royalty and technical know-how fee.

(f) Credits or recoveries relating to the amount royalty and technical know-how fee, material and quantifiable, shall be deducted to arrive at the net amount of royalty and technical know-how fee.

(g) Any change in the cost accounting principles applied for the measurement of the amount of royalty and technical knowhow fee shall be made only if, it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an organization.

(h) Royalty and technical know-how fee that is directly traceable to a cost object shall be assigned to that cost object. In case such fee is not directly traceable to a cost object then it shall be assigned on any of the following basis, namely:-

(i) Units produced;

(ii) Units sold; or

(iii) Sales value.

(i) The amount of royalty fee paid for mining rights shall form part of the cost of material.

(j) The amount of royalty and technical know-how fee shall be assigned on the nature or purpose of such fee. The amount of royalty and technical know-how fee related to product or process know how shall be treated as cost of

production; if related to trademarks or brands shall be treated as cost of sales.

11. Research and Development Expenses.- (a) Research and development costs shall include all the costs that are directly traceable to research or development activities or that can be assigned to research and development activities strictly on the basis of (a) cause and effect or (b) benefits received. Such costs shall include the following elements, namely:-

- (i) the cost of materials and services consumed in research and development activities.
- (ii) cost of bought out materials and hired services as per invoice or agreed price including duties and taxes directly attributable thereto net of trade discounts, rebates, taxes and duties refundable or to be credited.
- (iii) the salaries, wages and other related costs of personnel engaged in research and development activities;
- (iv) the depreciation of equipment and facilities, and other tangible assets, and amortisation of intangible assets to the extent that they are used for research and development activities;
- (v) overhead costs, other than general administrative costs, related to research and development activities.
- (vi) costs incurred for carrying out research and development activities by other entities and charged to the entity; and
- (vii) expenditure incurred in securing copyrights or licences;
- (viii) expenditure incurred for developing computer software;
- (ix) costs incurred for the design of tools, jigs, moulds and dies;
- (x) other costs that can be directly attributed to research and development activities and can be identified with specific projects.

(b) Subsidy or grant or incentive or amount of similar nature received or receivable with respect to research and development activity, if any, shall be reduced from the cost of such research, and development activity.

(c) Any abnormal cost where it is material and quantifiable shall not form part of the research and development cost.

(d) Fines, penalties, damages and similar levies paid to statutory authorities or other third parties shall not form part of the research and development cost.

(e) Research and development costs shall not include imputed costs.

(f) Credits or recoveries relating to research and development cost, if material and quantifiable, including from the sale of output produced from the research and development activity shall be deducted from the research and development cost.

(g) Research and development costs attributable to a specific cost object shall be assigned to that cost object directly. Research and development costs that are not attributable to a specific product or process shall not form part of the product cost.

(h) Development cost which results in the creation of an intangible asset shall be amortised over its useful life. Assignment of development costs shall be based on the principle of "benefits received".

(i) Research and development costs incurred for the development and improvement of an existing process or product shall be included in the cost of production. In case the Research and development activity related to the improvement of an existing process or product continues for more than one accounting period, the cost of the same shall be accumulated and amortised over the estimated period of use of the improved process or estimated period over which the improved product shall be produced by the entity after the commencement of commercial production, as the case may be, if the improved process or product is distinctly different from the existing process or product and the product is marketed as a new product. The amount allocated to a particular period shall be included in the cost of production of that period. If the expenditure is only to improve the quality of the existing product or minor modifications in attributes, the principle shall not be applied.

(j) Development costs attributable to a sale-able service namely, providing technical know-how to outside parties shall be accumulated separately and treated as cost of providing the service.

12. Quality control expenses.- (a) Adequate records shall be maintained to indicate the expenses incurred in respect of quality control department or cost centre or service centre for goods or services under reference. Where these services are also utilized for other goods or services of the company, the basis of apportionment to goods or services under reference and to other goods or services shall be on equitable and reasonable basis and applied consistently.

(b) Quality control cost incurred in-house shall be the aggregate of the cost of resources consumed in the quality control activities of the entity. The cost of resources procured from outside shall be determined at invoice or agreed price including duties and taxes, and other expenditure directly attributable thereto net of discounts (other than cash discounts), taxes and duties refundable or to be credited by the Tax Authorities. Such cost shall include cost of conformance to quality, namely, (a) prevention cost; and (b) appraisal cost.

- (c) Identification of quality control costs shall be based on traceability in an economically feasible manner.
 - (d) Quality control costs other than those referred to above shall be determined on the basis of amount incurred in connection therewith.
 - (e) Finance costs incurred in connection with the self-generated or procured resources shall not form part of quality control cost.
 - (f) Quality control costs shall not include imputed costs.
 - (g) Any Subsidy or grant or incentive or any such payment received or receivable with respect to any quality control cost shall be reduced for ascertainment of the cost of the cost object to which such amounts are related.
 - (h) Any abnormal portion of the quality control cost where it is material and quantifiable shall not form part of the cost of quality control.
 - (i) Penalties, damages paid to statutory authorities or other third parties shall not form part of the quality control cost.
 - (j) Any change in the cost accounting principles applied for the measurement of the quality control cost shall be made only if, it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an organization.
 - (k) Quality control cost that is directly traceable to the cost object shall be assigned to that cost object. Assignment of quality control cost to the cost objects shall be based on benefits received by them on the principles, namely:-
 - (i) Cause and effect - Cause is the process or operation or activity and effect is the incurrence of cost and
 - (ii) Benefits received - overheads are to be apportioned to the various cost objects in proportion to the benefits received by them.
13. Pollution control expenses.- (a) Adequate records shall be maintained to indicate the expenses incurred in respect of pollution control. The basis of apportionment to goods or services under reference and to other goods or services shall be on equitable and reasonable basis and applied consistently.
- (b) Pollution control costs shall be the aggregate of direct and indirect cost relating to pollution control activity. Direct cost shall include the cost of materials, consumable stores, spares, manpower, equipment usage, utilities, resources for testing and certification and other identifiable resources consumed in activities such as waste processing, disposal, remediation and others. Indirect cost shall include the cost of resources common to various pollution control activities such as pollution control registration and such like expenses.
 - (c) Costs of pollution control which are internal to the entity shall be accounted for when incurred. They shall be measured at the historical cost of resources consumed.
 - (d) Future remediation or disposal costs which are expected to be incurred with reasonable certainty as part of onerous contract or constructive obligation, legally enforceable shall be estimated and accounted based on the quantum of pollution generated in each period and the associated cost of remediation or disposal in future.
 - (e) Contingent future remediation or disposal costs e.g. those likely to arise on account of future legislative changes on pollution control shall not be treated as cost until the incidence of such costs become reasonably certain and can be measured.
 - (f) External costs of pollution which are generally the costs imposed on external parties including social costs are difficult to estimate with reasonable accuracy and are excluded from general purpose cost statements.
 - (g) Social costs of pollution are measured by economic models of cost measurement. The cost by way of compensation by the polluting entity either under future legislation or under social pressure cannot be quantified by traditional models of cost measurement. They are best kept out of general purpose cost statements.
 - (h) Cost of in-house pollution control activity shall include cost of materials, consumable stores, spares, manpower, equipment usage, utilities, and other resources used in such activity.
 - (i) Cost of pollution control activity carried out by outside contractors inside the entity shall include charges payable to the contractor and cost of materials, consumable stores, spares, manpower, equipment usage, utilities, and other costs incurred by the entity for such jobs.
 - (j) Cost of pollution control jobs carried out by contractor at its premises shall be determined at invoice or agreed price including duties and taxes, and other expenditure directly attributable thereto net of discounts (other than cash discount), taxes and duties refundable or to be credited. This cost shall also include the cost of other resources provided to the contractors.
 - (k) Cost of pollution control jobs carried out by outside contractors shall include charges made by the contractor and cost of own materials, consumable stores, spares, manpower, equipment usage, utilities and other costs used in such jobs.

- (l) Each type of pollution control namely, water, air, soil pollution shall be treated as a distinct activity, if material and identifiable.
 - (m) Finance costs incurred in connection with the pollution control activities shall not form part of pollution control costs.
 - (n) Pollution control costs shall not include imputed costs.
 - (o) Price variances related to pollution control, where standard costs are in use, shall be treated as part of pollution control cost. The portion of usage variances attributable to normal reasons shall be treated as part of pollution control cost. Usage variances attributable to abnormal reasons shall be excluded from pollution control cost.
 - (p) Subsidy or grant or incentive or amount of similar nature received or receivable with respect to Pollution control activity, if any, shall be reduced for ascertainment of the cost of the cost object to which such amounts are related.
 - (q) Any Pollution control cost resulting from abnormal circumstances, if material and quantifiable, shall not form part of the pollution control cost.
 - (r) Fines, penalties, damages and similar levies paid to statutory authorities or other third parties shall not form part of the pollution control cost.
 - (s) Credits or recoveries relating to the pollution control activity, material and quantifiable, shall be deducted to arrive at the net pollution control cost.
 - (t) Research and development cost to develop new process, new products or use of new materials to avoid or mitigate pollution shall be treated as research and development costs and not included under pollution control costs. Development costs incurred for commercial development of such product, process or material shall be included in pollution control costs.
 - (u) Any change in the cost accounting principles applied for the measurement of the pollution control cost shall be made only if, it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an organization.
 - (v) Pollution Control costs shall be traced to a cost object to the extent economically feasible.
 - (w) Direct costs of pollution control such as treatment and disposal of waste shall be assigned directly to the product, where traceable economically.
 - (x) Where these costs are not directly traceable to the product but are traceable to a process which causes pollution, the costs shall be assigned to the products passing through the process based on the quantity of the pollutant generated by the product.
 - (y) Where the pollution control cost is not directly traceable to cost object, it shall be treated as overhead and assigned based on either of the following two principles; namely:-
 - (1) Cause and Effect - Cause is the process or operation or activity and effect is the incurrence of cost and
 - (2) Benefits received - overheads are to be apportioned to the various cost objects in proportion to the benefits received by them.
14. Service department expenses.- (a) Proper records shall be maintained in respect of service departments, that is, cost centres which primarily provides auxiliary services across the enterprise, to indicate expenses incurred in respect of each such service cost centre like engineering, work shop, designing, laboratory, safety, transport, computer cell, welfare and other related centres.
- (b) Each identifiable service cost centre shall be treated as a distinct cost object for measurement of the cost of services subject to the principle of materiality.
 - (c) Cost of service cost centre shall be the aggregate of direct and indirect cost attributable to services being rendered by such cost centre.
 - (d) Cost of in-house services shall include cost of materials, consumable stores, spares, manpower, equipment usage, utilities, and other resources used in such service.
 - (e) Cost of other resources shall include related overheads.
 - (f) Cost of services rendered by contractors within the facilities of the entity shall include charges payable to the contractor and cost of materials, consumable stores, spares, manpower, equipment usage, utilities, and other resources provided to the contractors for such services.
 - (g) Cost of services rendered by contractors at their premises shall be determined at invoice or agreed price including duties and taxes, and other expenditure directly attributable thereto net of discounts (other than cash discount), taxes and duties refundable or to be credited. This cost shall also include the cost of resources provided to the contractors.
 - (h) Cost of services for the purpose of inter unit transfers shall also include distribution costs incurred for such transfers.

- (i) Cost of services for the purpose of inter-company transfers shall also include distribution cost incurred for such transfers and administrative overheads.
 - (j) Cost of services rendered to outside parties shall also include distribution cost incurred for such transfers, administrative overheads and marketing overheads.
 - (k) Finance costs incurred in connection with the service cost Centre shall not form part of the cost of Service Cost Centre.
 - (l) The cost of service cost centre shall not include imputed costs.
 - (m) Where the cost of service cost centre is accounted at standard cost, the price and usage variances related to the services cost Centre shall be treated as part of cost of services. Usage variances due to abnormal reasons shall be treated as part of abnormal cost.
 - (n) Any Subsidy or grant or incentive or any such payment received or receivable with respect to any service cost centre shall be reduced for ascertainment of the cost to which such amounts are related.
 - (o) The cost of production and distribution of the service shall be determined based on the normal capacity or actual capacity utilization whichever is higher and unabsorbed cost, if any, shall be treated as abnormal cost. Cost of a stand-by service shall include the committed costs of maintaining such a facility for the service.
 - (p) Any abnormal cost where it is material and quantifiable shall not form part of the cost of the service cost centre.
 - (q) Penalties, damages paid to statutory authorities or other third parties shall not form part of the cost of the service cost centre.
 - (r) Credits or recoveries relating to the service cost centre including charges for services rendered to outside parties, material and quantifiable, shall be reduced from the total cost of that service cost centre.
 - (s) Any change in the cost accounting principles applied for the measurement of the cost of Service cost centre shall be made, only if it is required by law or a change would result in a more appropriate preparation or presentation of cost statements of an enterprise.
 - (t) While assigning cost of services, traceability to a cost object in an economically feasible manner shall be the guiding principle.
 - (u) Where the cost of services rendered by a service cost centre is not directly traceable to a cost object, it shall be assigned on the most appropriate basis.
 - (v) The most appropriate basis of distribution of cost of a service cost centre to the cost centres consuming services is to be derived from logical parameters related to the usage of the service rendered. The parameter shall be equitable, reasonable and consistent.
15. Packing expenses.- (a) Proper records shall be maintained separately for domestic and export packing showing the quantity and cost of various packing materials and other expenses incurred on primary or secondary packing indicating the basis of valuation.
- (b) The packing material receipts shall be valued at purchase price including duties and taxes, freight inwards, insurance, and other expenditure directly attributable to procurement (net of trade discounts, rebates, taxes and duties refundable or to be credited) that can be quantified at the time of acquisition.
 - (c) Finance costs directly incurred in connection with the acquisition of packing material shall not form part of packing material cost.
 - (d) Self-manufactured packing materials shall be valued including direct material cost, direct employee cost, direct expenses, job charges, factory overheads including share of administrative overheads comprising factory management and administration and share of research and development cost incurred for development and improvement of existing process or product.
 - (e) Normal loss or spoilage of packing material prior to receipt in the factory shall be absorbed in the cost of balance materials net of amounts recoverable from suppliers, insurers, carriers or recoveries from disposal.
 - (f) The forex component of imported packing material cost shall be converted at the rate on the date of the transaction. Any subsequent change in the exchange rate till payment or otherwise shall not form part of the packing material cost.
 - (g) Any demurrage, detention charges or penalty levied by the transport agency or any authority shall not form part of the cost of packing materials.
 - (h) Any subsidy or grant or incentive or any such payment received or receivable with respect to packing material shall be reduced for ascertainment of the cost to which such amounts are related.
 - (i) Issue of packing materials shall be valued using appropriate assumptions on cost flow, namely, First In First Out, Last

In First Out, weighted average rate. The method of valuation shall be followed on a consistent basis.

(j) Wherever, packing material costs include transportation costs, the determination of costs of transportation shall be in accordance with para No. 9 on determination of cost of transportation.

(k) Packing material costs shall not include imputed costs.

(l) Where packing materials are accounted at standard cost, the price variances related to such materials shall be treated as part of packing material cost and the portion of usage variances due to normal reasons shall be treated as part of packing material cost. Usage variances due to abnormal reasons shall be treated as part of abnormal cost.

(m) The normal loss arising from the issue or consumption of packing materials shall be included in the packing materials cost.

(n) Any abnormal cost where it is material and quantifiable shall be excluded from the packing material cost.

(o) The credits or recoveries in the nature of normal scrap arising from packing materials if any, shall be deducted from the total cost of packing materials to arrive at the net cost of packing materials.

(p) Packing material costs shall be directly traced to a cost object to the extent it is economically feasible.

(q) Where the packing material costs are not directly traceable to the cost object, these may be assigned on the basis of quantity consumed or similar measures like technical estimates.

(r) The packing material cost of reusable packing shall be assigned to the cost object taking into account the number of times or the period over which it is expected to be reused.

(s) Cost of primary packing materials shall form part of the cost of production.

(t) Cost of secondary packing materials shall form part of distribution overheads.

16. Interest and financing charges.- (a) Interest and financing charges are costs incurred by an enterprise in connection with the borrowing of fund or other costs which in effect represent payment for the use of non-equity fund.

(b) Interest and financing charges incurred shall be identified for-

(i) acquisition or construction or production of qualifying assets including fixed assets; and

(ii) other finance costs for production of goods or operations or services rendered which cannot be classified as qualifying assets.

(c) Interest and financing charges directly attributable to the acquisition or construction or production of a qualifying asset shall be included in the cost of the asset.

(d) Interest and financing charges shall not include imputed costs.

(e) Subsidy or grant or incentive or amount of similar nature received or receivable with respect to Interest and Financing Charges if any, shall be reduced to ascertain the net interest and financing charges.

(f) Penal Interest for delayed payment, fines, penalties, damages and similar levies paid to statutory authorities or other third parties shall not form part of the interest and financing charges. In case the company delays the payment of statutory dues beyond the stipulated date, interest paid for delayed payment shall not be treated as penal interest.

(g) Interest paid for or received on investment shall not form part of the other financing charges for production of goods or operations or services rendered;

(h) Assignment of interest and financing charges to the cost objects shall be based on either of the following two principles; namely:-

(1) Cause and Effect - Cause is the process or operation or activity and effect is the incurrence of cost and

(2) Benefits received - to be apportioned to the various cost objects in proportion to the benefits received by them.

17. Any other item of cost.- Proper records shall be maintained for any other item of cost being indispensable and considered necessary for inclusion in cost records for calculating cost of production of goods or rendering of services, cost of sales, margin in total and per unit of the goods or services under reference.

18. Capacity determination.- (a) Capacity shall be determined in terms of units of production or equivalent machine or man hours.

(b) Installed capacity is determined based on

(i) manufacturers' Technical specifications;

(ii) capacities of individual or interrelated production centres;

(iii) operational constraints or capacity of critical machines; or

(iv) number of shifts

(c) In case manufacturers' technical specifications are not available, the estimates by technical experts on capacity under ideal conditions shall be considered for determination of installed capacity. In case any production facility is added

or discarded the installed capacity shall be reassessed from the date of such addition or discard. In case the same is reassessed as per direction of the Government, it shall be in accordance with the principles laid down in the said directives. In case of improvement in the production process, the installed capacity shall be reassessed from the date of such improvement.

(d) Normal capacity shall be determined vis-a-vis installed capacity after carrying out adjustments for

(i) holidays, normal shut down days and normal idle time;

(ii) normal time lost in batch change over;

(iii) time lost due to preventive maintenance and normal break downs of equipments;

(iv) loss in efficiency due to ageing of the equipment; or

(v) number of shifts;

(e) Capacity utilization is actual production measured as a percentage of installed capacity.

19. Work-in-progress and finished stock.- The method followed for determining the cost of work-in-progress and finished stock of the goods and for services under delivery or in-process shall be appropriate and shall be indicated in the cost records so as to reveal the cost element that have been taken into account in such computation. All conversion costs incurred in bringing the inventories to their present location and condition shall be taken into account while computing the cost of work-in-progress and finished stock. The method adopted for determining the cost of work-in progress and finished goods shall be followed consistently.

20. Captive consumption.- If the goods or services under reference are used for captive consumption, proper records shall be maintained showing the quantity and cost of each such goods or services transferred to other departments or cost centres or units of the company for self-consumption and sold to outside parties separately.

21. By-Products and Joint Products.- (a) Proper records shall be maintained for each item of by-product, if any, produced showing the receipt, issues and balances, both in quantity and value. The basis adopted for valuation of by-product for giving credit to the respective process shall be equitable and consistent and shall be indicated in cost records. Records showing the expenses incurred on further processing, if any, and actual sales realisation of by-product shall be maintained. The proper records shall be maintained in respect of credits or recoveries from the disposal of by-products.

(b) Proper records shall be maintained the cost up to the point of separation of products or services shall be apportioned to joint products or services on reasonable and equitable basis and shall be applied consistently. The basis on which such joint costs are apportioned to different products or services arising from the process shall be indicated in the cost records. Proper records shall be maintained in respect credits or recoveries from the disposal of joint products or services.

22. Adjustment of cost variances.- Where the company maintains cost records on any basis other than actual such as standard costing, the records shall indicate the procedure followed by the company in working out the cost of the goods or services under such system. The cost variances shall be shown against separate heads and analyzed into material, labour, overheads and further segregated into quantity, price and efficiency variances. The method followed for adjusting the cost variances in determining the actual cost of the goods or services shall be indicated clearly in the cost records. The reasons for the variances shall be duly explained in the cost records and statements.

23. Reconciliation of cost and financial accounts.- The cost statements shall be reconciled with the financial statements for the financial year specifically indicating the expenses or incomes not considered in the cost records or statements so as to ensure accuracy and to adjust the profit of the goods or services under reference with the overall profit of the company. The variations, if any, shall be clearly indicated and explained.

24. Related party transactions.- (a) Related Party means related party as defined under clause (76) of section 2 of the Companies Act, 2013 (

18 of 2013

).

(b) "Normal" price means price charged for comparable and similar products in the ordinary course of trade and commerce where the price charged in the sole consideration of sale and such sale is not made to a related party. Normal price can be construed to be a price at which two unrelated and non-desperate parties would agree to a transaction and where such transaction is not clouded due to the proximity of the parties to the transaction and free from influence though the parties may have shared interest.

(c) The basis adopted to determine Normal price shall be classified as under:

- (i) Comparable uncontrolled price method;
 - (ii) Resale price method;
 - (iii) Cost plus method;
 - (iv) Profit split method;
 - (v) Transactional net margin method; or
 - (vi) Any other method, to be specified.
- (d) In respect of related party transactions or supplies made or services rendered by a company to a company termed "related party relationship" and vice-a-versa, records shall be maintained showing contracts entered into, agreements or understanding reached in respect of -
- (i) purchase and sale of raw materials, finished goods, rendering of services, process materials and rejected goods including scraps and other related materials;
 - (ii) utilisation of plant facilities and technical know-how;
 - (iii) supply of utilities and any other services;
 - (iv) administrative, technical, managerial or any other consultancy services;
 - (v) purchase and sale of capital goods including plant and machinery; and
 - (vi) any other payment related to the production of goods or rendering of services under reference.
- (e) These records shall also indicate the basis followed for arriving at the rates charged or paid for such goods or services so as to enable determination of the reasonableness of such rates in so far as they are in any way related to goods or services under reference.
25. Expenses or incentives on exports.- (a) Proper records showing the expenses incurred on the export sales, if any, of the goods or services under reference shall be separately maintained so that the cost of export sales can be determined correctly. Separate cost statements shall be prepared for goods or services exported giving details of export expenses incurred or incentive earned.
- (b) Proper records shall be maintained giving the details of export commitments license-wise and the fulfillment of these commitments giving the reasons for non-compliance, if any. In case, duty free imports are made, the cost statements shall reflect this fact. If the duty free imports have been made after actual production, the statement shall reflect this fact also.
26. Production Records.- Quantitative records of all finished goods (packed or unpacked) or services rendered showing production, issues for sales and balances of different type of the goods or services under reference, shall be maintained. The quantitative details of production of goods or services rendered shall be maintained separately for self-produced, third party on job work, loan license basis etc.
27. Sales records.- Separate details of sales shall be maintained for domestic sales at control price, domestic sales at market price, export sales under advance license, export sales under other obligations, export sales at market price, and sales to related party or inter unit transfer. In case of services details of domestic delivery or sales at control price, domestic delivery or sales at market price, export delivery or sales under advance license, export delivery or sales under other obligations, export delivery or sales at market price, and delivery or sales to related party or inter unit transfer. Such details shall be maintained separately for each plant or unit wise or service center wise for total as well as per unit sales realization.
28. Cost statements.- (a) Cost statements (monthly, quarterly and annually) showing quantitative information in respect of each good or service under reference shall be prepared showing details of available capacity, actual production, production as per excise records, capacity utilization (in-house), stock purchased for trading, stock and other adjustments, quantity available for sale, wastage and actual sale during current financial year and previous year.
- (b) Such statements shall also include details in respect of all major items of costs constituting cost of production of goods or services, cost of sales of goods or services and margin in total as well as per unit of the goods or services. The goods or services emerging from a process, which forms raw material or an input material or service for a subsequent process, shall be valued at the cost of production or cost of service up to the previous stage.
- (c) Cost Statements (monthly, quarterly and annually) in respect of reconciliation of indirect taxes showing details of total clearances of goods or services, assessable value, duties or taxes paid, CENVAT or VAT or Service Tax credit utilized, duties or taxes recovered and interest or penalty paid.
- (d) If the company is operating more than one plant, factory or service centre, separate cost statements as specified above shall be prepared in respect of each plant, factory or service centre.

(e) Any other statement or information considered necessary for suitable presentation of costs and profitability of goods or services produced by the company shall also be prepared.

29. Statistical Records.- (a) The records regarding available machine hours or direct labour hours in different production departments and actually utilized shall be maintained for production of goods or rendering of services under reference and shortfall suitably analyzed. Suitable records for computation of idle time of machines or labour shall also be maintained and analyzed.

(b) Proper records shall be maintained to enable the company to identify the capital employed, net fixed assets and working capital separately for the production of goods or rendering of services under reference and other goods or services to the extent such elements are separately identifiable. Non-identifiable items shall be allocated on a suitable and reasonable basis to different goods or services. Fresh investments on fixed assets for production of goods or rendering of services under reference that have not contributed to the production of goods or rendering of services during the relevant period or year shall be indicated in the cost records. The records shall, in addition, show assets added as replacement and those added for increasing existing capacity.

30. Records of Physical Verification.- Records of physical verification may be maintained in respect of all items held in the stock such as raw materials, process materials, packing materials, consumables stores, machinery spares, chemicals, fuels, finished goods and fixed assets etc. Reasons for shortages or surplus arising out of such verifications and the method followed for adjusting the same in the cost of the goods or services shall be indicated in the records.

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[FORM
- CRA-2]
[Substituted by Notification No. G.S.R. 486 (E), dated 12.6.2015 (w.e.f. 30.6.2014).]

[Pursuant to sub-rule (2) of
rule 6 and sub-rule (3A) of rule 6]

Form of intimation of appointment of cost auditor by the
company to Central Government

Form languageo Englisho Hindi

Note: Refer the instruction kit for filing the form. All
fields marked in * are to be mandatorily filled.

IN CASE OF REVISED CRA-2, ALL THE DETAILS MUST BE FILLED
AFRESH.

1.
(a) *Corporate identity number (CIN) or foreign company
registration number (FCRN) of the company

{
|
|-
|
| (b) Global location number (GLN) of company
|
|}
2.

(a) Name of the company

{
|-
|
| (b) Address of the registered office or of the principal place
of business in India of the company
|
|-
|

| (c) *e-mail ID of the company

|
|-
|
| (d) *Phone (with STD code) -
|
|-
|
| (e) *Nature of intimation of appointment of cost auditor(s)
|
|-
|
| (f) (i) *SRN of CRA-2/23C filed earlier for appointment of
cost auditor(s) for the current Financial Year
|
|-
|
| (ii) *Number
of such auditor(s) whose place of office is vacated
|
|-
|
| (iii)
Particulars of the auditor(s) whose place of office is vacated
|
|}
(i) *Firm registration number(FRN) of the Cost auditor/Cost
Auditor's firm/LLP
{
(ii) *Name of the Cost Auditor/Cost Auditor's firm/LLP
-
-
(iii) *Date of casual vacancy
-
(iv) *Reason of casual vacancy
}
3.
*Product(s)/ Service(s) to which Cost Audit relates
(a) Number of Industries/Sectors/Products/Services ([CTA Heading]
[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]
Level, wherever applicable as per rules) covered under
regulated sectors
{
Details of
such industries/sectors/products/services

|-
|
|
Industries/sectors/products/services
[CTA Heading]
[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]
(wherever Applicable)
No. of tariff items/ Products/ services
|-
|
| (b) Number of Industries/Sectors/Products/Services ([CTA Heading]
[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]
Level, wherever applicable as per rules) covered under
non-regulated
|
|-
|
| Details of
such industries/sectors/products/service
|-
|
|
Industries/sectors/products/services
[CTA Heading]
[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]
(wherever Applicable)
No. of tariff items/ Products/ services
|}
4.
*Details of all the cost auditor(s) appointed
*Number of cost auditor(s)
{
I.
(a) *Category of the auditor Individual Partnership firm Limited liability partnership (LLP)
-
(b) (i) *Membership number of the Cost Auditor/ member
representing the Cost Auditor?s Firm/LLP
-
(ii) *Name of the Cost Auditor/ member representing the Cost
Auditor?s Firm/LLP
-
-
(iii) *Firm Registration Number(FRN) of the Cost Auditor/Cost
Auditor?s firm/LLP

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|-
|
(iv) *Name of the Cost Auditor?s firm/LLP
-
(c) (i) Address
*Line I
-
Line II
-
(ii) *City
-
(iii)*State
-
(iv) *Country
-
(v) *Pin Code
-
(vi) *e-mail ID of the firm or member
-
(d) *Date of the board meeting in which cost auditor was
appointed
(DD/MM/YYYY)
-
(e) *Type of appointment
-
OriginalAppointment due to casual vacancyAppointment
for new products/services/location
-

|
(f) *Scope of audit of the cost auditor/firm/LLP
}
5.
*Financial year to be covered under the cost audit
From
{|
| (DD/MM/YYYY)To
|
| (DD/MM/YYYY)
|}
6.
(a) *Is there any change in cost auditor(s) appointed, from
the previous financial yearYesNoNot applicable
(b)*Mention the Firm Registration number(s) and name of the
previous cost auditor(s) which has not been reappointed.
{
(c) *Reasons for change
-
-
(d) *Whether the previous cost auditor(s) has/have been
informed about the changeYesNo
}
Attachments
List of attachments
(1) *Copy of Board resolution of
the company
{
-
(2) Optional attachment, if any.
-
-
Declaration
-
I am authorized by the Board of Directors of the Company vide
resolution number*dated*to sign this form and declare that all
the requirements of Companies Act, 2013 and the rules made
thereunder in respect of the subject matter of this form and
matters incidental thereto have been complied with. I also

declare that all the information given herein above is true,
correct and complete including the attachments to this form and
nothing material has been suppressed.

}}

*To be digitally signed by

{

DSC BOX

|-

| *Designation

|

|-

| *Director identification number of the director; or PAN of
the Manager or CEO or CFO or authorized representative; or
Membership number of the Company Secretary

|

|-

| Note: Attention is drawn to provisions of sections 448 and
449.

of the Companies Act, 2013 which provide for punishment for
false statement / certificate and punishment for false evidence
respectively.

|-

|

|

|

|

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| This e-form has been taken on file maintained by the
Central Government through electronic mode and on the basis of
statement of correctness given by the company.

}}

[Form CRA-3]

[Substituted by Notification No. G.S.R. 1(E), dated 31.12.2014 (w.e.f. 30.6.2014).]

[Pursuant to rule 6(4) of the Companies (Cost Records and Audit) Rules, 2014]

Form of the Cost Audit Report

I/ We,..... having been appointed as Cost Auditor(s) under section 148(3) of the Companies Act,
2013(18 of 2013) of(mention name of the company) having its registered office at
..... (mention registered office address of the company) (hereinafter referred to as the
company), have audited the Cost Records maintained under section 148 of the said Act, in compliance with the cost
auditing standards, in respect of the.....[mention name (s) of Product(s)/service(s)] for the
period/year..... (mention the financial year) maintained by the company and report, in addition to my/our
observations and suggestions in para 2.

(i)

I/ We have/ have not obtained all the information and explanations, which to the best of my/our knowledge and belief
were necessary for the purpose of this audit.

(ii)

In my/our opinion, proper cost records, as per rule 5 of the Companies (Cost Records and Audit) Rules, 2014 have/have
not been maintained by the company in respect of product(s)/service(s) under reference.

(iii)

In my/our opinion, proper returns adequate for the purpose of the cost audit have/have not been received from the
branches not visited by me/us.

(iv)

In my/our opinion and to the best of my/our information, the said books and records give/do not give the information required by the Companies Act, 2013, in the manner so required.

(v)

In my/our opinion, the company has/does not have adequate system of internal audit of cost records which to my/our opinion is commensurate to its nature and size of its business.

(vi)

In my/our opinion, information, statements in the annexure to this cost audit report gives/does not give a true and fair view of the cost of production of product(s)/rendering of service(s), cost of sales, margin and other information relating to product(s)/service(s) under reference.

(vii)

Detailed unit-wise and product/service-wise cost statements and schedules thereto in respect of the product /service under reference of the company duly audited and certified by me/us are/are not kept in the company.

2. Observations and suggestions, if any, of the Cost Auditor, relevant to the cost audit.

Dated: this ____ day of _____ 20__

at _____ (mention name of place of signing this report)

Signature and Seal of the Cost Auditor (S)

Membership Number (S)

Notes.- (1) Delete words not applicable.

(2)

If as a result of the examination of the books of account, the cost auditor desires to point out any material deficiency or give a qualified report, he/she shall indicate the same against the relevant para (i) to (vii) in the prescribed form of the Cost Audit Report giving details of discrepancies he/she has come across.

(3)

The report, suggestions, observations and conclusions given by the cost auditor under this paragraph shall be based on verified data, reference to which shall be made here and shall, wherever practicable, be included after the company has been afforded an opportunity to comment on them.

Annexure to the Cost Audit Report

Part - A 1. General Information{

| -

| 1

| Corporate identity number or foreign company registration number

|

| -

| 2

| Name of company

|

| -

| 3

| Address of registered office or of principal place of business in India of company

|

| -

| 4

| Address of corporate office of company

|

| -

| 5

| Email address of company

|

| -

| 6

| Date of beginning of reporting Financial Year

| dd/mm/yyyy

| -

| 7

| Date of end of reporting Financial Year

| dd/mm/yyyy

| -

| 8

| Date of beginning of previous financial year

| dd/mm/yyyy

| -

| 9

| Date of end of previous financial year

| dd/mm/yyyy

| -

| 10

| Level of rounding used in cost statements

| Absolute/thousands/ lacs/crores

| -

| 11

| Reporting currency of entity

| INR

| -

| 12

| Number of cost auditors for reporting period

|

| -

| 13

| Date of board of directors meeting in which annexure to cost
audit report was approved

|

| -

| 14

| Whether cost auditors report has been qualified or has any
reservations or contains adverse remarks

|

| -

| 15

| Consolidated qualifications, reservations or adverse remarks
of all cost auditors

|

| -

| 16

| Consolidated observations or suggestions of all cost auditors

|

| -

| 17

| Whether company has related party transactions for sale or
purchase of goods or services

|

|}

2. General Details of Cost Auditor

1

Whether cost auditor is lead auditor

2

Category of cost auditor

3

Firm's registration number

4

Name of cost auditor/cost auditor?s firm

5

PAN of cost auditor/cost auditor?s firm

6

Address of cost auditor or cost auditor?s firm

7

Email id of cost auditor or cost auditor?s firm

8

Membership number of member signing report

9

Name of member signing report

10

Name(s) of product(s) or service(s) with[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

11

SRN number of Form 23C/ CRA-2

12

Number of audit committee meeting attended by cost auditor
during year

13

Date of signing cost audit report and annexure by cost auditor

14

Place of signing cost audit report and annexure by cost
auditor

3. Cost Accounting Policy.-

(1)

Briefly describe the cost accounting policy adopted by the Company and its adequacy or otherwise to determine correctly the cost of production/operation, cost of sales, sales realization and margin of the product(s)/service(s) under reference separately for each product(s)/service(s). The policy shall cover, inter alia, the following areas:

(a)

Identification of cost centres/cost objects and cost drivers.

(b)

Accounting for material cost including packing materials, stores and spares, employee cost, utilities and other relevant cost components.

(c)

Accounting, allocation and absorption of overheads.

(d)

Accounting for depreciation/amortization.

(e)

Accounting for by-products/joint-products or services, scarps, wastage etc.

(f)

Basis for Inventory Valuation.

- (g)
Methodology for valuation of Inter-Unit/Inter Company and Related Party transactions.
- (h)
Treatment of abnormal and non-recurring costs including classification of other non-cost items.

(i)
Other relevant cost accounting policy adopted by the Company.

(2)
Briefly specify the changes, if any, made in the cost accounting policy for the product(s)/service(s) under audit during the current financial year as compared to the previous financial year.

(3)
Observations of the Cost Auditor regarding adequacy or otherwise of the Budgetary Control System, if any, followed by the company.

4. Product/ Service Details (for the company as a whole)

Name of Product(s)/ Service(s)

UOM

[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

(wherever applicable)

Whether Covered under Cost Audit Yes / No

Net Operational Revenue (net of taxes, duties
etc.)

Current Year Rs.

Previous Year Rs.

- 1.
 - 2.
 - 3.
 - 4.
- ???

Total net revenue from operations

Other Incomes of company

Total revenue as per financial accounts

Extra ordinary income, if any

Total revenue including extra ordinary income, if any

Turnover as per Excise/Service Tax Records

Note: Explain the difference, if any, between Turnover as per
Annual Accounts and Turnover as per Excise/Service Tax Records.

Part-B For Manufacturing Sector

1. Quantitative Information (for each product with [CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]
separately)

Name of Product

[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

Particulars

Unit

Current Year

Previous Year

1. Available Capacity

(a)

Installed Capacity

(b) Capacity

enhanced during the year, if any

(c) Capacity

available through leasing arrangements, if any

(d) Capacity

available through loan license/ third parties

(e) Total

available Capacity

2. Actual Production

(a) Self

manufactured

(b) Produced

under leasing arrangements

(c) Produced

on loan license/ by third parties on job work

(d) Total

Production

3. Production as per Excise Records

4. Capacity Utilization (in-house)

5. Finished Goods Purchased

(a) Domestic

Purchase of Finished Goods

(b) Imports

of Finished Goods

(c) Total

Finished Goods Purchased

6. Stock and Other Adjustments

(a) Change

in Stock of Finished Goods

(b) Self /

Captive Consumption (incl. samples etc.)

(c) Other

Quantitative Adjustments, if any (wastage etc.)

(d) Total

Adjustments

7. Total Available Quantity for Sale $[2(d) + 5(c) + 6(d)]$

8. Actual Sales

(a) Domestic

Sales of Product

(b) Domestic

Sales of Traded Product

(c) Export

Sale of Product

(d) Export

Sale of Traded Product

(e) Total

Quantity Sold

2. Abridged Cost Statement

(for each product with [CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

separately)

Name of Product

[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

Unit of Measure

Production

Finished Goods Purchased

Finished Stock Adjustment

Captive Consumption

Other Adjustments

Quantity Sold

Current Year

Previous Year

S No.

Particulars

Current Year

Previous Year

Amount (Rs.)

Rate per Unit (Rs.)

Amount (Rs.)

Rate per Unit (Rs.)

1

2

3

4

5

6

7

8

9

10

11

12

13

14

15

16

17

Materials Consumed (specify details
as per Para 2A)

Process Materials/Chemicals

Utilities (specify details as per
2B)

Direct Employees Cost

Direct Expenses

Consumable Stores and Spares

Repairs and Maintenance

Quality Control Expenses

Research and Development Expenses

Technical know-how Fee / Royalty

Depreciation/Amortization

Other Production Overheads

Industry Specific Operating

Expenses (specify details as per Para 2C)

Total (1 to 13)

Increase/Decrease in

Work-in-Progress

Less: Credits for Recoveries, if

any

Primary Packing Cost

18

19

Cost of Production/Operations (14 +

15 to 17)

Cost of Finished Goods Purchased

20

21

22

23

Total Cost of Production and

Purchases (18 + 19)

Increase/Decrease in Stock of

Finished Goods

Less: Self/Captive Consumption

(incl. Samples, etc.)

Other Adjustments (if any)

24

25

26

27

Cost of Production/Operation of

Product Sold (20 + 21 to 23)

Administrative Overheads

Secondary Packing Cost

Selling and Distribution Overheads

28

29

Cost of Sales before Interest (24

to 27)

Interest and Financing Charges

30

31

Cost of Sales (28 + 29)

Net Sales Realization (Net of Taxes and Duties)

32

Margin [Profit/(Loss) as per Cost Accounts] (31 - 30)

Notes:

1.

Separate cost statement shall be prepared for each[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]
representing the product.

2.

In case the same product has different unit of measure,

separate cost statement shall be provided for different unit of measures.

3.

The items of cost shown in the Proforma are indicative and the same shall be reflected keeping in mind the materiality of the item of cost in the product. The Proforma may be suitably modified to meet the requirement of the industry/product.

4.

In case the company follows a pre-determined or standard costing system, the above cost statement shall reflect figures at actuals after adjustment of variances, if any.

2A. Details of Materials Consumed

Name of Product

[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

Description of Material

Category

UOM

Current Year

Previous Year

Quantity

Rate per Unit (Rs.)

Amount

Quantity

Rate per Unit (Rs.)

Amount

1.

2.

3.

4.

5.

6.

7.

8.

9.

10.

Category: Indigenous/ Imported/ Self Manufactured

2B. Details of Utilities Consumed

Name of Product

[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

Description of Material

UOM

Current Year

Previous Year

Quantity

Rate per Unit (Rs.)

Amount

Quantity

Rate per Unit(Rs.)

Amount

- 1.
- 2.
- 3.
- 4.
- 5.
- 6.
- 7.
- 8.
- 9.
- 10.

2C. Details of Industry Specific Operating Expenses

Name of Product

[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

Description of Industry Specific Operating Expenses

Current Year

Previous Year

Amount

Amount

- 1.
- 2.
- 3.
- 4.
- 5.
- 6.
- 7.
- 8.
- 9.
- 10.

Part-C For Service Sector

1. Quantitative Information (for each service separately)

Name of Service

Service Code (if applicable)

Particulars

Unit of Measurement

Current Year

Previous Year

1. Available Capacity

(a) Installed

Capacity

(b) Capacity

enhanced during the year, if any

(c) Total

available Capacity

2. Actual Services Provided

(a) Own

Services

(b) Services

under contractual arrangements

(c)

Outsourced Services

(d) Total

Services

3. Total Services provided as per Service Tax Records

4. Capacity Utilization (in-house)

5. Actual Sales

(a) Services

rendered ? Domestic

(b) Services

rendered ? Export

(c) Total

Services Rendered

2. Abridged Cost Statement (for each service separately)

Name of

Service

Service

Code (if applicable)

Unit of

Measure

Services Provided

Captive Consumption

Other Adjustments

Services rendered

Current Year

Previous Year

Sno.

Particulars

Current Year

Previous Year

Amount (Rs.)

Rate per Unit (Rs.)

Amount (Rs.)

Rate per Unit (Rs.)

1

Materials Consumed (specify details as per Para 2A)

2

Utilities (specify details as per Para 2B)

3

Direct Employees Cost

4

Direct Expenses

5

Consumable Stores and Spares

6

Repairs and Maintenance

7

Quality Control Expenses

8

Research and Development Expenses

9

Technical know-how Fee / Royalty

10

Depreciation/Amortization

11

Other Overheads

12

Industry Specific Operating Expenses (specify details as per Para 2C)

13

Total (1 to 12)

14

Less: Credits for Recoveries, if any

15

Cost of Services provided (13 - 14)

16

Cost of Outsourced/Contractual Services

17

Total Services available

18

Less: Self/Captive Consumption

19

Other Adjustments (if any)

20

Cost of Services Sold (17 ? 18 + 19)

21

Administrative Overheads

22

Selling and Distribution Overheads

23

Cost of Sales before[Finance Charges]

[Substituted 'Interest' by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]
(20+21+22)

24

Interest and Financing Charges

25

Cost of Sales (23 + 24)

26

Net Sales Realization (Net of Taxes and Duties)

27

Margin [Profit/ (Loss) as per Cost Accounts] (26 - 25)

Notes:

1.

Separate cost statement shall be prepared for each service

2.

The items of cost shown in the Proforma are indicative and the same shall be reflected keeping in mind the materiality of the item of cost in the service.

3.

The Proforma may be suitably modified to meet the requirement of the industry/ service.

4.

In case the company follows a pre-determined or standard costing system, the above cost statement shall reflect figures at

actuals after adjustment of variances, if any.

2A. Details of Materials Consumed

Name of Service

Service Code (if applicable)

Description of Material

Category

UOM

Current Year

Previous Year

Quantity

Rate per Unit (Rs.)

Amount

Quantity

Rate per Unit (Rs.)

Amount

1.

2.

3.

4.

5.

6.

7.

8.

9.

10.

Category: Indigenous/ Imported/ Self Manufactured

2B. Details of Utilities Consumed

Name of Service

Service Code (if applicable)

Description of [Utilities Consumed]

[Substituted 'Material' by Notification No. G.S.R. 792(E), dated 15.10.2019 (w.e.f. 30.6.2014).]

UOM

Current Year

Previous Year

Quantity

Rate per Unit (Rs.)

Amount

Quantity

Rate per Unit(Rs.)

Amount

1.

2.

3.

4.

5.

6.

7.

8.

9.

10.

2C. Details of Industry Specific Operating Expenses

Name of Service

Service Code (if applicable)

Description of Industry Specific Operating Expenses

Current Year

Previous Year

Amount

Amount

1.

2.

3.

4.

5.

6.

7.

8.

9.

10.

Part-D 1. Product And Service Profitability Statement (for audited products/services)

Sno.

Particulars

Current Year

Previous Year

Sales Rs.

Cost of Sales Rs.

Margin Rs.

Sales Rs.

Cost of Sales Rs.

Margin Rs.

Product 1

Product 2

Product 3

?? etc.

Service 1

Service 2

Service 3

?? etc.

Total

2. Profit Reconciliation (for the company as a whole)

S. No.

Particulars

Current Year

Rs.

Previous Year

Rs.

1

Profit or Loss as per Cost Accounting Records

(a) For the

audited product(s)/service(s)

(b) For the

un-audited product(s)/service(s)

2

Add: Incomes not considered in cost accounts (specify details)

- (a)
- (b)
- (c)
- (d)
- (e)
- (f)
- (g)
- (h)
- (i)
- (j)

3

Less: Expenses not considered in cost accounts (specify details)

- (a)
- (b)
- (c)
- (d)
- (e)
- (f)
- (g)
- (h)
- (i)
- (j)

4

Difference in Valuation of stock between financial accounts and cost accounts

5.

Other adjustments, if any

6

Profit or Loss as per Financial Accounts

Note: Show abnormal wastages, expenses on strikes/ lock-outs and any other items of expenses or incomes of abnormal nature etc. not considered in cost separately

3. Value Addition and Distribution of Earnings (for the company as a whole)

S. No.

Particulars

Current Year

Rs.

Previous Year

Rs.

Value Addition:

1

Gross Sales (excluding sales returns)

2

Less: Excise duty, etc.

3

Net Sales

4

Add: Export Incentives

5

Add/ Less: Adjustment in Finished Stocks

6

Less: Cost of bought out inputs

(a) Cost of

Materials Consumed

(b) Process

Materials / Chemicals

(c)

Consumption of Stores and Spares

(d)

Utilities (e.g. power and fuel)

(e) Others,

if any

Total Cost of bought out inputs

7

Value Added

8

Add: Income from any other sources

9

Add: Extra Ordinary Income

10

Earnings available for distribution

Distribution of Earnings to:

1

Employees as salaries and wages, retirement benefits, etc.

2

Shareholders as dividend

3

Company as retained funds

4

Government as taxes (specify)

5

Extra Ordinary Expenses

6

Others, if any (specify)

7

Total distribution of earnings

4. Financial Position and Ratio Analysis (for the company as a whole)

S. No.

Particulars

Units

Current Year

Previous Year

A.

Financial Position

1

Share Capital

2

Reserves and Surplus

3

Long Term Borrowings

4

(a) Gross Assets

(b) Net Assets

5

(a) Current Assets

(b) Less: Current Liabilities

(c) Net Current Assets

6

Capital Employed

7

Net Worth

B.

Financial Performance

1

Value Added

2

Net Revenue from Operations of Company

3

Profit before Tax (PBT)

C.

Profitability Ratios

1

PBT to Capital Employed (B3/A6)

%

2

PBT to Net Worth (B3/A7)

%

3

PBT to Value Added (B3/B4)

%

4

PBT to Net revenue from Operations (B3/B2)

%

D.

Other Financial Ratios

1

Debt-Equity Ratio

2

Current Assets to Current Liabilities

3

Valued Added to Net Revenue from Operations

%

E.

Working Capital Ratios

1

Raw Materials Stock to Consumption

Months

2

Stores and Spares to Consumption

Months

3

Finished Goods Stock to Cost of Sales

Months

Note.- 1Capital Employed means average of net fixed assets (excluding effect of revaluation of fixed assets) plus Non-current investments and net current assets existing at the beginning and close of the financial year.

Note.- 2Net Worth is as defined under clause (57) of section 2 of the Companies Act, 2013.

5. Related Party Transactions (for the company as a whole)

S. No.

Name and Address of the Related Party

Name of the Product/ Service

Nature of Transaction (Sale, Purchase etc.)

Quantity

Transfer Price

Amount

Normal Price

Basis adopted to determine the Normal Price

1

2

3

4

5

6

7

8

9

10

Note. 1Details shall be furnished for each Related Party and Product/ Service separately.

Note. 2Details of Related Party transactions without indicating the Normal Price and the basis thereof shall be considered as incomplete information.

6. Reconciliation of Indirect Taxes (for the Company as a whole)

Particulars

Assessable Value

Rs.

Excise Duty

Rs.

Service Tax

Rs.

Cess and Others

Rs.

VAT

Rs.

Duties/ Taxes Payable

Excise Duty

1

Domestic

2

Export

3

Stock Transfers (Net)

4

Duty Free Clearance, Others etc.

5

Total Excise Duty (1 to 4)

6

Service Tax

7

VAT, CST etc.

8

Other State Taxes, if any

9

Total Duties/ Taxes Payable (5 to 8)

Duties/ Taxes Paid

10

Cenvat/ VAT Credit Utilised - Inputs

11

Cenvat/ VAT Credit Utilised - Capital Goods

12

Cenvat/ VAT Credit Utilised - Input Services

13

Cenvat/ VAT Credit Utilised - Others

14

Total (10 to 13)

15

Paid through PLA/ Cash

16

Total Duties/ Taxes Paid (14 + 15)

17

Duties/ Taxes Recovered

18

Difference between Duties/ Taxes Paid and Recovered

19

Interest/ Penalty/ Fines Paid

Note: Provide separate amounts in notes in respect of
Item 4 above.

Signature

Signature

Signature

Name

Name

Name

Cost Auditor

Company

Director

Secretary/ Director

Membership Number

Membership/ Din Number

Din Number

Seal

Stamp

Stamp

Date

Date

Date

Note (1) Wherever, there is any significant variation in the current year's figure over the previous year's figure for any item shown under each para of the Annexure to the Cost Audit Report, reasons thereof shall be given by the Cost Auditor.

Note (2) Wherever, duration of the current year or the previous year is not 12 (twelve) months, same shall be clearly indicated in the Report.

}

[FORM

- CRA-4]

[Substituted by Notification No. G.S.R. 486 (E), dated 12.6.2015 (w.e.f. 30.6.2014).]

[Pursuant to sub-rule (6) of
rule 6]

Form for filling Cost Audit Report with the Central Government

Form languageEnglishHindi

Note: Refer the instruction kit for filing the form. All
fields marked in * are to be mandatorily filled.

1.

(a) *Corporate identity number (CIN) or foreign company
registration number (FCRN) of the company

{

|

|-

|

| (b) Global location number (GLN) of company

|

}

2.

(a) Name of the company

{

|-

|

| (b) Address of the registered office or of the principal place
of business in India of the company

|

|-

|

| (c) *e-mail ID of the company

|

|-

|

| (d) *SRN of 23C/ CRA-2 filed for appointment of Cost
Auditor(s)

|

|

}

3.

(a)* Financial year for which cost auditor was initially
appointed

From

```
{
| (DD/MM/YYYY)
To
|
| (DD/MM/YYYY)
|-
|
| (b) *Whether any change in Financial Year    YesNo
|-
|
| (c) *Changed Financial Year for which report is being filed
| From
|
DD/mm/yyyy
| To
|
DD/mm/yyyy
|-
|
| (d) *Date of Board of Directors meeting in which Annexure to
the cost audit report was approved
|
DD/mm/yyyy
|}
4.
(a) *State number of Industries/ Sectors/ Product(s)/
Service(s) ([CTA Heading]
[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]
level, wherever applicable as per Rules)
for which the Cost Audit Report is being submitted
(i) Regulated
{|
|
|-
|
| (ii) Non-Regulated
|
|
|-
|
| (b) Details of such Industries/ Sectors/ product(s)/
service(s) of the company
|-
|
| (i) Details
of such industries/sectors/products/services under regulated
sectors
|-
|
|
Industries/sectors/products/services
```

[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

(wherever Applicable)

No. of tariff items/ Products/ services

|-

|

| (ii) Details

of such Industries/ Sectors/product/service under non-regulated sectors

|-

|

|

Industries/sectors/products/services

[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

(wherever Applicable)

No. of tariff items/ Products/ services

l}

5.

(a) *State number of Industries/ Sectors/ Product(s)/

Service(s) ([CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

level, wherever applicable as per Rules)

for which the Cost Audit Report

(i) Regulated

{|

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|

| (ii) Non-Regulated

|

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|

| (b) (i) Details

of such industries/sectors/products/service(s) of the company under regulated sectors

|-

|

|

Industries/sectors/products/services

[CTA Heading]

[Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]

(wherever Applicable)

No. of tariff items/ Products/ services

|-

|

| (b) (ii) Details

of such Industries/ Sectors/product/service(S) of the company under non-regulated sectors

|-

|
 |
 Industries/sectors/products/services
 [CTA Heading]
 [Substituted 'CETA Heading' by Notification No. G.S.R. 1526(E), dated 20.12.2017 (w.e.f. 30.6.2014).]
 (wherever Applicable)
 No. of tariff items/ Products/ services
 |}
 6.
 Details of all the cost auditor(s) appointed
 *Number of cost auditor(s) appointed
{
(a) *Category of the auditorIndividualPartnership firmLimited liability partnership (LLP)
-
(b) (i) *Membership number of the Cost Auditor/ member
representing the Cost Auditor?s Firm/LLP
-
(ii) *Name of the Cost Auditor/ member representing the Cost
Auditor?s Firm/LLP
-
-
(iii) *Firm Registration Number(FRN) of the Cost Auditor/Cost
Auditor?s firm/LLP
-
(iv) *Name of the Cost Auditor?s firm/LLP
-
-
(c) (i) Address
*Line I
-
Line II
-
(ii) *City

|
|-
|
| (iii) *State
|
|-
|
| (iv) *Country
|
|-
|
| (v) *Pin Code
|
|-
|
| (vi) *e-mail ID of the firm or member
|
|-
|
| (d) *Date of the board meeting in which cost auditor was
appointed
|
(DD/MM/YYYY)
(e) *Type of appointmentOriginalAppointment due to casual vacancyAppointment
for new products/services/location
-
(f) *Scope of audit of the cost auditor/firm/LLP
-
(g) *Date of receipt of copy of cost audit report by the company
(DD/MM/YYYY)
}
7.
(a) *Whether the cost auditor?s report has been
qualified
YesNo
If yes, please state
{
(b) *Whether cost auditor?s report has any reservations
YesNo
-
If yes, please state

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| *Director identification number of the director; or PAN of
the Manager or CEO or CFO or authorized representative; or
Membership number of the Company Secretary

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| Note: Attention is drawn to provisions of sections 448 and
449. of the Companies Act, 2013 which provide for punishment for
false statement / certificate and punishment for false evidence
respectively.

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| This e-form has been taken on file maintained by the
Central Government through electronic mode and on the basis of
statement of correctness given by the company.

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Related AI tags, queries and research notes

Translation